SIP Monthly Meeting

27 Oct 2025

Agenda (27 Oct)

1. [For approval] SIP seller P&L booking change

2. Performance

3. Initiatives
   - 3.1. CNSIP seller coverage update
   - 3.2. SIP CS and new chatbot rollout
   - 3.3. Direct selling regional roll-out
   - 3.4. Local FBS cross-selling assessment

4. Summary of other key initiatives

1. [For approval] SIP seller P&L booking change

SIP P&L booking - CN SIP: Seller P&L already booked under A (import mkt), P&L is neutral before MP waiver, post MP waiver is +1.2mil, no net P&L impact to each mkt

Table 1: CNSIP Seller P&L and MP revenue contribution to A mkt

Metrics	Cycle	BU	FY26 (Yearly, $)									
			SG	MY	TH	TW	ID	VN	PH	BR	MX/CO/C	Total
Last Submission	Seller P&L	CNSIP	0.0m	0.0m	0.0m	0.0m	-	0.0m	0.0m	0.0m	0.0m	0.0m
	MP PC2	CNSIP	0.0m	-0.0m	-0.0m	0.0m	-	-0.0m	-0.0m	-0.1m	-0.0m	-0.1m
	SLS	CNSIP	1.4m	0.3m	1.9m	0.3m	-	0.8m	2.9m	4.0m	0.9m	12.5m
	MP PC2+SLS+Seller P&L	CNSIP	1.4m	0.3m	1.9m	0.3m	-	0.8m	2.8m	3.9m	0.9m	12.4m
This Submission	Seller P&L	CNSIP	0.1m	0.1m	0.3m	0.1m	-	0.1m	0.3m	0.2m	0.0m	1.2m
	MP PC2	CNSIP	-0.1m	-0.1m	-0.3m	-0.1m	-	-0.1m	-0.3m	-0.3m	-0.0m	-1.3m
	SLS	CNSIP	1.4m	0.3m	1.9m	0.3m	-	0.8m	2.9m	4.0m	0.9m	12.5m
	MP PC2+SLS+Seller P&L	CNSIP	1.4m	0.3m	1.9m	0.3m	-	0.8m	2.8m	3.9m	0.9m	12.4m
Gap	Seller P&L	CNSIP	0.1m	0.1m	0.3m	0.1m	-	0.1m	0.3m	0.2m	0.0m	1.2m
	MP PC2	CNSIP	-0.1m	-0.1m	-0.3m	-0.1m	-	-0.1m	-0.3m	-0.2m	-0.0m	-1.2m
	SLS	CNSIP	0.0m	0.0m	0.0m	0.0m	-	0.0m	0.0m	0.0m	0.0m	0.0m
	MP PC2+SLS+Seller P&L	CNSIP	0.0m	0.0m	0.0m	0.0m	-	0.0m	0.0m	0.0m	0.0m	0.0m

1 → Submission w/o mp waiver

2 → Submission w/ mp waiver

3

4

Key Highlights:

Seller P&L is booked under A mkt already, with following difference in seller P&L

1. CNSIP seller P&L (w/o MP waiver) is **0mil**
2. CNSIP seller P&L (w/ MP waiver) is **1.2mil**, by adding +0.1mil from ads waiver, +1.1mil from commission waiver

P&L impact, overall no nett P&L impact to each A mkt,

3. Seller P&L better by **1.2mil** (+0.1mil from ads waiver, +1.1mil from commission waiver)
4. MP revenue worse off by same amount **-1.2mil**

SIP P&L booking - Local SIP: Seller P&L currently is booked under P mkt (export market), to move to A (import market), before MP waiver is P&L neutral, post MP waiver is +12.6mil

Table: Local SIP Seller P&L + MP PC2 + SLS Contribution *(include shift from P to A and MP waivers)*

Metrics	Cycle	BU	FY26 (Yearly, $)										
			SG	MY	TH	TW	ID	VN	PH	BR	MX/CC	Total	
A. Last Submission	Seller P&L	Local SIP	0.0m	0.0m	0.0m	0.0m	0.0m	0.0m	0.0m	0.0m	0.0m	A 0.0m	>> P view (export mkt)
	MP PC2	Local SIP	33.1m	5.9m	1.2m	1.7m	-	-	14.0m	0.4m	-0.4m	55.8m	
	SLS	Local SIP	1.4m	1.6m	0.0m	0.0m	-	-	3.6m	0.0m	-	6.7m	
	MP PC2+SLS+Seller P&L	Local SIP	34.6m	7.5m	1.2m	1.7m	-	-	17.6m	0.4m	-0.4m	62.6m	
B. This Submission (1) move P to A	Seller P&L	Local SIP	3.3m	-4.9m	0.6m	0.2m	-	-	0.2m	0.1m	0.5m	B 0.0m	>> A view (import mkt) w/o MP waiver
	MP PC2	Local SIP	33.1m	5.9m	1.2m	1.7m	-	-	14.0m	0.4m	-0.4m	55.8m	
	SLS	Local SIP	1.4m	1.6m	0.0m	0.0m	-	-	3.6m	0.0m	-	6.7m	
	MP PC2+SLS+Seller P&L	Local SIP	37.8m	2.6m	1.9m	1.9m	-	-	17.8m	0.5m	0.1m	62.6m	
C. This Submission (1) move P to A (2) Add MP waiver	Seller P&L	Local SIP	7.6m	-0.0m	1.4m	0.3m	-	-	3.2m	0.1m	0.1m	C 12.6m	>> A view (import mkt) w/ MP waiver
	MP PC2	Local SIP	28.8m	1.0m	0.5m	1.6m	-	-	11.0m	0.3m	-	43.2m	
	SLS	Local SIP	1.4m	1.6m	0.0m	0.0m	-	-	3.6m	0.0m	-	6.7m	
	MP PC2+SLS+Seller P&L	Local SIP	37.8m	2.6m	1.9m	1.9m	-	-	17.8m	0.5m	0.1m	62.6m	
	MP PC2+SLS+Seller P&L (GMV%)	Local SIP	*17.7%*	*1.1%*	*5.4%*	*22.9%*	-	-	*12.2%*	*15.9%*	*0.0%*	*9.7%*	
Gap (C - A)	Seller P&L	Local SIP	7.6m	-0.0m	1.4m	0.3m	-	-	3.2m	0.1m	0.1m	12.6m	2
	MP PC2	Local SIP	-4.3m	-4.9m	-0.7m	-0.1m	-	-	-3.0m	-0.0m	0.4m	-12.6m	3
	SLS	Local SIP	-	-	-	-	-	-	-	-	-	-	
	MP PC2+SLS+Seller P&L	Local SIP	3.3m	-4.9m	0.6m	0.2m	-	-	0.2m	0.1m	0.5m	0.0m	1

Seller P&L (w/o waiver) Breakeven

Final Submission (Chris's view)

Key Highlights:

Local SIP Seller P&L currently is booked under P mkt (export market), with following key changes

- A Local SIP seller P&L - last submission (booked under P - export mkt): target breakeven by export market, so all **0mil**
- B Local SIP seller P&L - to **shift to book under A - import mkt**: despite all mkts still **0mil**, but MY is negative at -4.9mil due to shifting budget from other pnl positive market to boost MY topline, given MY assortment matches customer demands with high marketing ROI
- C Local SIP seller P&L book under A - import mkt **with adding the MP waiver**: **12.6mil** (+2.6mil from ads waiver, +10.0mil from commission waiver)

1 **P&L impact, overall impact to Shopee is 0, however, by mkt will have impact due to shift from P to A booking, reflected in (B)**

- 2 Seller P&L better by **12.6** mil from waivers
- 3 MP PC2 loss by **-12.6** mil from waivers

So, SIP this submission will be as follows, we will book 13.8mil seller P&L (1.2mil/12.6mil for CNSIP and Local SIP respectively)

Table: SIP Overall Seller P&L (CN + Local SIP)

Metrics	Cycle	BU	FY26 (Yearly, $)									
			SG	MY	TH	TW	ID	VN	PH	BR	MX/CO	Total
Seller P&L	This Submission	SIP	**7.7m**	**0.0m**	**1.7m**	**0.4m**	**-**	**0.1m**	**3.5m**	**0.3m**	**0.1m**	**13.8m**
		CNSIP	0.1m	0.1m	0.3m	0.1m	-	0.1m	0.3m	0.2m	0.0m	**1.2m**
		Local SIP	**7.6m**	**-0.0m**	**1.4m**	**0.3m**	**-**	**-**	**3.2m**	**0.1m**	**0.1m**	**12.6m**
	Last submission	SIP	-	-	-	-	-	-	-	-	-	-
		CNSIP	-	-	-	-	-	-	-	-	-	-
		Local SIP	-	-	-	-	-	-	-	-	-	-
	Gap	SIP	**7.7m**	**0.0m**	**1.7m**	**0.4m**	**-**	**0.1m**	**3.5m**	**0.3m**	**0.1m**	**13.8m**
		CNSIP	0.1m	0.1m	0.3m	0.1m	-	0.1m	0.3m	0.2m	0.0m	**1.2m**
		Local SIP	7.6m	-0.0m	1.4m	0.3m	-	-	3.2m	0.1m	0.1m	**12.6m**

<u>Proposed Timeline:</u>

- **Official Budget Submission**
  - **FY25 (Nov - Dec'25):** Submit Seller P&L neutral, **continue under P view**
  - **FY26 onwards:** Submit Seller P&L with +12.6mil/1.2mil respectively for local and CNSIP (with MP waivers), **shift to A view**
    Rationale based on Reg teams guidance:
    - Per Reg FP&A, shift from P to A view should occur on a full quarter basis, which earliest effective would be from Q1'26 (Jan'26)
    - Per RSX and Reg Ads team, 5% ads waiver to be wef from Jan'26 (due to tight ads take rate% margin targets for FY25)

- **CB Management Reporting to Chris**
  - **FY25 (Nov - Dec'25):** Report Seller P&L with MP waivers (from Sep'25), **continue under P view** (already reflected in last Chris Quarterly meeting)
  - **FY26 onwards:** Report Seller P&L with +12.6mil/+1.2mil respectively (with MP waivers), **shift to A view**

Latest updates: Ads 5% credits may not be able to apply to this cycle due to RSX request to start from Jul'26 instead of Jan'26, aligning, w/o the ads waiver, SIP seller P&L will be ~10mil in submission

2. Performance

Performance [FY25 overview]: Continued strong growth across 4 BUs into Q4-25; on track to FY25 ADO 196k (+64% YoY, %CB +2.2pp), seller P&L -$0.2M without big seller discount (+$3.6M YoY) , total P&L $44.1M (+$12.9M YoY)

SIP performance and projection FY24 and FY25

	Actual					Projection					
	Q1'24	Q2'24	Q3'24	Q4'24	FY24	Q1'25	Q2'25	Q3'25	Q4'25	FY25	FY25 YoY
ADO	**100,132**	**106,884**	**113,762**	**154,767**	**119,504**	**161,434**	**170,503**	**204,654**	**245,940**	**195,889**	**+64%**
...Local SIP	72,354	77,249	88,892	126,560	91,354	130,186	134,228	158,796	182,547	151,603	+66%
...CN SIP	27,726	27,759	21,453	20,901	24,459	21,200	22,917	28,069	38,233	27,653	+13%
...Direct	52	1,876	2,842	5,836	2,668	6,115	7,337	10,074	17,700	10,338	+287%
...WH Cross selling			575	1,470	1,023	3,933	6,021	7,715	7,460	6,296	+515%
ADO as %CB	**3.8%**	**3.9%**	**4.0%**	**5.0%**	**4.2%**	**5.6%**	**5.9%**	**6.7%**	**7.1%**	**6.4%**	**+2.2pp**
ADG (USD)	**$1,067 K**	**$1,108 K**	**$1,175 K**	**$1,592 K**	**$1,240 K**	**$1,659 K**	**$1,793 K**	**$2,046 K**	**$2,393 K**	**$1,975 K**	**+59%**
...Local SIP	$847 K	$862 K	$962 K	$1,338 K	$1,003 K	$1,393 K	$1,476 K	$1,632 K	$1,793 K	$1,574 K	+57%
...CN SIP	$217 K	$233 K	$174 K	$173 K	$200 K	$157 K	$186 K	$241 K	$324 K	$227 K	+14%
...Direct	$3 K	$13 K	$36 K	$71 K	$31 K	$84 K	$94 K	$132 K	$224 K	$134 K	+335%
...WH Cross selling			$4 K	$9 K	$7 K	$26 K	$37 K	$42 K	$52 K	$39 K	+492%
ADG as %CB	**5.6%**	**5.6%**	**5.7%**	**6.8%**	**6.0%**	**7.6%**	**7.8%**	**8.6%**	**9.0%**	**8.3%**	**+2.3pp**
Seller/Standalone PC2	**$1.0**	**-$0.6**	**$0.2**	**-$4.3**	**-$3.7**	**$0.6**	**-$1.4**	**$0.8**	**-$0.1**	**-$0.2**	**+$3.6**
...Local SIP	$0.9	-$0.3	$0.1	-$4.5	-$3.7	$0.5	-$1.3	$1.3	-$0.1	$0.4	+$4.1
...CN SIP	$0.1	-$0.4	$0.1	$0.2	$0.0	$0.1	-$0.2	-$0.5	$0.0	-$0.6	-$0.5
Seller/Standalone PC2%	**1.0%**	**-0.6%**	**0.2%**	**-2.9%**	**-0.8%**	**0.4%**	**-0.9%**	**0.4%**	**-0.1%**	**0.0%**	**+0.8pp**
Standalone+MP+SLS PC2 (USD M)	**$8.1**	**$7.1**	**$7.4**	**$8.6**	**$31.2**	**$10.1**	**$9.0**	**$12.3**	**$12.7**	**$44.1**	**+$12.9**
...Local SIP	$6.3	$5.4	$6.0	$6.7	$24.4	$9.1	$7.5	$11.4	$10.1	$38.1	+$13.7
...CN SIP	$1.8	$1.7	$1.4	$1.9	$6.8	$1.0	$1.5	$0.9	$2.7	$6.0	-$0.8

Highlights

Topline 64%/59% YoY growth, CB penetration +2.2pp/+2.3pp, mainly driven by
>> SIP: improved SKU migration system, optimized marketing ROI
>> Direct selling/WH cross selling: unlocked more lanes/WH segments/sellers

Seller/standalone P&L
-$0.2M, +$3.6M YoY, slightly negative due to CNSIP -$0.6M (~-0.7% GMV close to +/- 0.5% breakeven buffer range), due to reinvestment of seller P&L in Jun-Aug to counter management fee removal and drive new SKU incubation

Total PC2 (standalone+MP+SLS)
$44.1M, +12.9M YoY

Topline performance [Sep full-month]: 215k ADO, 103% RR, %CB +0.06% MoM; ADG $2.1M, 98% RR, %CB -0.09% MoM; sustained growth against P&L improvement to revert MYSG and CNSIP seller P&L back to breakeven

Metric	BU / program	Sep 25 Full-month					Target	
		Sep Actual	Target	RR	M-1	MoM	Sep 25	Oct 25
ADO	**ADO**	**215,146**	**209,329**	**103%**	**208,542**	**3%**	**209,329**	**231,108**
	... Local SIP	167,303	156,330	107%	159,987	5%	156,330	163,206
	... CN SIP	29,972	32,751	92%	29,422	2%	32,751	45,058
	... Direct Selling	10,847	10,871	100%	10,574	3%	10,871	12,517
	... WH cross-selling	7,024	9,377	75%	8,559	-18%	9,377	10,327
ADO as % of CB	**ADO as % CB**	**6.9%**	**6.7%**	**102%**	**6.8%**	**+0.06%**	**6.7%**	**7.1%**
	... Local SIP	5.4%	5.0%	106%	5.2%	+0.12%	5.0%	5.0%
	... CN SIP	1.0%	1.0%	91%	1.0%	-0.00%	1.0%	1.4%
	... Direct Selling	0.3%	0.3%	99%	0.3%	+0.00%	0.3%	0.4%
	... WH cross-selling	0.2%	0.3%	74%	0.3%	-0.05%	0.3%	0.3%
ADG	**ADG**	**$2,095,033**	**$2,136,148**	**98%**	**$2,059,830**	**2%**	**$2,136,148**	**$2,286,010**
	... Local SIP	$1,638,425	$1,652,102	99%	$1,626,123	1%	$1,652,102	$1,677,356
	... CN SIP	$261,288	$276,877	94%	$247,260	6%	$276,877	$369,563
	... Direct Selling	$149,139	$143,497	104%	$134,782	11%	$143,497	$165,224
	... WH cross-selling	$46,001	$63,672	72%	$51,664	-11%	$63,672	$73,866
ADG as % of CB	**ADG as % CB**	**8.6%**	**8.9%**	**96%**	**8.6%**	**-0.09%**	**8.9%**	**9.9%**
	... Local SIP	6.8%	6.9%	98%	6.8%	-0.13%	6.9%	7.3%
	... CN SIP	1.1%	1.1%	93%	1.0%	+0.03%	1.1%	1.6%
	... Direct Selling	0.6%	0.6%	102%	0.6%	+0.04%	0.6%	0.7%
	... WH cross-selling	0.2%	0.3%	71%	0.2%	-0.03%	0.3%	0.3%

[Topline]

Local SIP: 167k ADO, 107% RR, CB% +0.12pp MoM; $1.64M ADG, 99% RR, CB% -0.13pp MoM; ADO outperform while ADG miss target because of MYSG lane; in Sep MYSG lane P&L revised to breakeven + price raise, leading to lower ADO; loss in MYSG ADO was offset by growth across other lanes; however, other lanes have lower ABS vs MYSG, leading to weaker ADG performance.

CNSIP: 30k ADO, 92% RR, CB% maintained MoM; $261k ADG, 94% RR, CB% +0.03pp MoM; RR<100% mainly due to lower marketing budget from stopping 5% seller P&L reinvestment Sep; ADO impact more than expected while P&L +$185k MoM.

Direct: **11k ADO, 100% RR, CB% maintained MoM; $149k ADG, 104% RR, CB% +0.04pp MoM**; ADO<100% mainly due to MYSG decline in traffic exposure.

WH cross-selling: **7k ADO, 75% RR, CB% -0.05pp MoM; $46k ADG, 72% RR, CB% -0.03pp MoM**; mainly due to (1) CB FBS over-projection (74% RR) and (2) Local SCS (78% RR) lower topline from MYSG P&L revision to breakeven; to revise WH segments target for Oct.

Topline performance [Oct EOM proj as of 24 Oct]: 238k ADO, 108% RR, %CB +0.9% MoM; ADG $2.24M, 102% RR, %CB +0.7% MoM; Oct focus on 1) local + CN SIP marketing ROI improvement; 2) direct selling acquisition ramp up

Metric	BU / program	MTD	Projection	Target	RR (proj)	M-1	MoM (proj)	Target	
								Oct 25	Nov 25
ADO	**Total**	**239,171**	**237,524**	**219,131**	**108%**	**215,146**	**10%**	**219,131**	**241,954**
	Local SIP	185,877	182,686	163,171	112%	167,303	9%	163,171	176,738
	CN SIP	33,059	34,162	34,311	100%	29,972	14%	34,311	39,497
	Direct Selling	13,442	13,540	12,355	110%	10,847	25%	12,355	17,821
	WH cross-selling	6,793	7,136	9,294	77%	7,024	2%	9,294	7,898
ADO % CB	**Total**	**7.6%**	**7.8%**	**6.8%**	**114%**	**6.9%**	**0.90%**	**6.8%**	**6.9%**
	Local SIP	6.0%	6.0%	5.1%	117%	5.4%	0.60%	5.1%	5.0%
	CN SIP	1.1%	1.1%	1.1%	104%	1.0%	0.16%	1.1%	1.1%
	Direct Selling	0.4%	0.4%	0.4%	115%	0.3%	0.13%	0.4%	0.5%
	WH cross-selling	0.2%	0.2%	0.3%	81%	0.2%	0.01%	0.3%	0.2%
ADG	**Total**	**$2,252,845**	**$2,243,984**	**$2,194,858**	**102%**	**$2,095,033**	**7%**	**$2,194,858**	**$2,433,272**
	Local SIP	$1,745,907	$1,728,641	$1,676,797	103%	$1,638,425	6%	$1,676,797	$1,818,967
	CN SIP	$284,021	$290,913	$291,934	100%	$261,288	11%	$291,934	$336,751
	Direct Selling	$180,521	$181,052	$165,327	110%	$149,319	21%	$165,327	$222,584
	WH cross-selling	$42,395	$43,378	$60,800	71%	$46,001	-6%	$60,800	$54,971
ADG % CB	**Total**	**9.0%**	**9.3%**	**9.0%**	**103%**	**8.6%**	**0.65%**	**9.0%**	**8.9%**
	Local SIP	7.1%	7.1%	6.9%	104%	6.8%	0.35%	6.87%	6.7%
	CN SIP	1.1%	1.2%	1.2%	100%	1.1%	0.12%	1.20%	1.2%
	Direct Selling	0.6%	0.7%	0.7%	110%	0.6%	0.20%	0.68%	0.8%
	WH cross-selling	0.2%	0.2%	0.2%	72%	0.2%	-0.01%	0.25%	0.2%

Highlights

Local SIP: 183k ADO, 112% RR, CB% +0.6pp MoM; $1.73M ADG, 103% RR, CB% +0.35pp MoM; ADO overachievement driven by MY market newly created SKUs discount push +6.4K ADO and new batch of incubation ads +5.0K ADO with strongest gains in MY and PH market.

CNSIP: 34k ADO, 99% RR, CB% +0.2pp MoM; $291k ADG, 99% RR, CB% +0.12pp MoM; RR slightly lower than expected mainly due to VN and TW new SKU organic effi lower than expected.

Direct: **14k ADO, 110% RR, CB% +0.13pp MoM; $181k ADG, 110% RR, CB% +0.2pp MoM**; growth mainly driven by (1) new sellers onboarded, including SIP performing sellers; (2) SKU effi improvement of maturing SKUs through PRM support

WH cross-selling: 7.1**k ADO, 77% RR, CB% +0.01pp MoM; $43k ADG, 71% RR, CB% -0.01pp MoM**; mainly due to (1) CB FBS over-projection (83% RR); (2) CB Choice cut loss making SKUs; (3) Local SCS experienced system glitch (no order on 4 & 5 Oct), in progress of catching up to Sep level via more aggressive marketing push. Revised BU target from Nov onwards.

Local SIP P&L [Oct EOM proj as of 24 Oct]: Local SIP seller P&L $1.12M on target; total standalone+MP+SLS P&L $4.12M

		Actual Jan'25	Actual Feb'25	Actual Mar'25	Actual Apr'25	Actual May'25	Actual Jun'25	Actual Jul'25	Actual Aug'25	Actual Sep'25	Projection Oct'25	MOM
Local SIP	ADO	118,804	118,284	144,279	113,058	132,461	148,477	148,557	159,987	167,303	182,686	9%
	ADG	1,269,519	1,302,688	1,560,647	1,371,503	1,454,353	1,509,200	1,562,657	$1,626,123	1,638,425	1,728,642	6%
	Revenue	27,602,444	26,448,267	36,613,663	30,159,598	35,478,806	35,372,065	38,260,564	39,420,658	38,860,574	42,783,654	3,923,080
	COGS	(17,079,689)	(16,414,027)	(23,158,119)	(20,224,330)	(22,060,380)	(22,019,569)	(24,257,522)	(25,421,142)	(24,787,217)	(27,023,815)	(2,236,598)
	OPEX	1,190,554	690,603	(1,927,470)	(2,932,638)	(1,725,388)	(1,901,151)	(2,089,749)	(2,075,450)	(2,023,695)	(2,206,297)	(182,602)
	PC1	**11,713,309**	**10,724,843**	**11,528,074**	**7,002,630**	**11,693,038**	**11,451,345**	**11,913,293**	**11,924,066**	**12,049,662**	**13,553,542**	1,503,880
	Logistics Cost	(5,380,333)	(4,659,673)	(6,012,214)	(4,917,941)	(4,433,977)	(4,328,199)	(4,347,204)	(4,050,973)	(3,979,523)	(4,201,299)	(221,776)
	Platform Fees	(4,714,217)	(4,409,439)	(6,125,409)	(4,658,251)	(5,938,666)	(6,302,444)	(7,032,332)	(11,147,872)	(11,144,608)	(13,059,650)	(1,915,042)
	Paid Ads	(1,185,067)	(1,350,928)	(2,126,696)	(1,702,601)	(3,142,503)	(3,903,556)	(3,537,583)	(3,674,876)	(3,667,582)	(4,490,189)	(822,607)
	Marketing/Other Advertising Packages	0	0	0	0	0	(14,519)	(17,254)	(175,066)	(55,318)	(267,218)	(211,900)
	Seller Discount	(170,761)	(200,586)	(306,058)	(307,578)	(575,362)	(511,419)	(554,446)	(512,216)	(717,255)	(741,251)	(23,996)
	MP PC1 Pass Back	0	0	3,152,637	2,555,318	3,152,292	3,625,319	3,858,067	4,346,459	4,282,471	4,603,645	321,174
	PC2	**262,931**	**104,217**	**110,334**	**(2,028,423)**	**754,822**	**16,527**	**282,541**	**559,464**	**490,747**	**154,986**	(335,761)
	Staff Cost	0	0	0	0	0	0	0	0	(33,200)	(134,090)	(100,890)
	Big Seller Discount	**637,571**	**610,565**	**844,396**	**667,339**	**877,788**	**938,698**	**955,757**	**923,899**	**969,709**	**1,098,440**	128,731
	PC3 (Seller Standalone)	**900,502**	**714,782**	**954,730**	**(1,361,084)**	**1,632,610**	**955,225**	**1,238,298**	**1,483,363**	**1,427,256**	1 **1,119,337**	3 **(307,919)**
	P&L Target	398,364	415,722	631,008	467,610	317,314	681,655	649,506	658,410	651,771	1,019,439	-
	Difference vs Target	502,138	299,060	323,722	(1,828,694)	1,315,296	273,570	588,792	824,953	775,485	2 99,899	-
	A MP PC2	1,053,069	1,276,362	644,840	596,201	1,168,413	1,077,743	1,259,981	1,293,675	1,987,979	2,223,171	5 235,192
	SLS P&L	874,580	297,159	356,638	209,647	349,307	494,118	677,947	717,454	842,356	779,333	5 (63,023)
	Total P&L (Standalone+MP+SLS)	**2,828,150**	**2,288,303**	**1,956,209**	**(555,236)**	**3,150,331**	**2,527,086**	**3,176,225**	**3,494,492**	**4,257,591**	4 **4,121,841**	5 **(135,750)**

Highlights

1 **Seller standalone P&L $1.12M**

- 2 +$100k (+0.001% GMV) vs target is within +/- 0.5% fluctuation buffer of target
- 3 **-$308k MoM** as budget was under-spent in Sep resulting in unplanned P&L surplus; expect to utilize full budget as planned in Oct to achieve higher topline (+9% MoM)

4 **Total P&L: $4.12M**

- 5 **-$136k MoM** mainly due to 1) **-$380k seller P&L** as explained above; 2) **--$63k SLS P&L** due to ASF reduction for MYSG, IDPH, IDTH, THMY wef 1 Oct; savings passed back to SIP team as additional marketing budget, offset by A MP PC2 **$235k** improvement due to higher topline led to higher TR contribution.

CNSIP P&L [Oct EOM proj as of 24 Oct]: CNSIP SIP seller P&L $0.12M on target, total standalone+MP+SLS P&L $0.63M

		Actual Jan'25	Actual Feb'25	Actual Mar'25	Actual Apr'25	Actual May'25	Actual Jun'25	Actual Jul'25	Actual Aug'25	Actual Sep'25	Projection Oct'25	MOM
CNSIP	ADO	18,750	21,584	20,670	22,211	22,436	23,079	24,207	28,984	29,972	34,162	14%
	ADG	150,040	174,293	163,470	170,078	188,755	190,968	208,046	243,723	261,288	290,913	11%
	Revenue	2,982,713	3,672,797	3,760,884	3,743,031	4,114,288	3,896,390	4,223,504	4,771,106	4,811,891	5,357,463	545,572
	COGS	(1,434,772)	(1,793,387)	(1,867,232)	(1,920,594)	(2,216,621)	(2,307,513)	(2,537,053)	(2,912,881)	(2,856,963)	(3,247,739)	(390,776)
	PC1	**1,547,941**	**1,879,410**	**1,893,652**	**1,822,437**	**1,897,667**	**1,588,877**	**1,686,451**	**1,858,225**	**1,954,928**	**2,109,724**	154,796
	Logistics Cost	(584,335)	(690,101)	(695,883)	(700,311)	(797,455)	(790,840)	(885,035)	(966,015)	(964,931)	(1,084,736)	(119,805)
	Platform Fees	(401,852)	(474,774)	(480,667)	(498,874)	(556,593)	(528,116)	(571,726)	(756,831)	(835,404)	(849,844)	(14,440)
	Marketing/Other Advertising Packages	0	0	0	0	0	0	0	0	0	0	0
	Paid Ads	(375,267)	(413,465)	(352,996)	(438,371)	(340,955)	(274,844)	(219,515)	(271,593)	(118,082)	(304,971)	(186,889)
	Seller Discount	(199,795)	(267,579)	(276,064)	(171,239)	(182,732)	(196,060)	(210,373)	(180,693)	(160,116)	(202,900)	(42,784)
	PC2	**(13,308)**	**33,490**	**88,042**	**13,643**	**19,752**	**(200,977)**	**(200,198)**	**(316,908)**	**(5,523)**	**27,755**	33,278
	Staff Cost	0	0	0	0	0	0	0	0	(5,641)	(27,755)	(22,114)
	Big Seller Discount	72,372	85,436	83,750	89,460	93,883	93,373	102,982	107,342	114,009	116,885	2,876
	PC3 (Seller Standalone)	**59,064**	**118,926**	**171,792**	**103,103**	**113,635**	**(107,604)**	**(97,216)**	**(209,566)**	**102,845**	1 **116,885**	3 **14,040**
	P&L Target	75,250	91,108	92,831	93,478	112,508	(54,157)	(83,052)	(81,610)	145,378	125,328	-
	Difference vs Target	(16,186)	27,818	78,961	9,625	1,127	(53,447)	(14,164)	(127,956)	(42,533)	2 (8,443)	-
	A MP PC2	250,109	(201,714)	140,215	223,726	64,051	(70,608)	(162,758)	(81,610)	(253,578)	(44,076)	209,502
	SLS P&L	250,678	309,064	312,027	309,398	336,783	324,036	340,537	388,403	361,273	438,475	5 77,202
	Total P&L (Standalone+MP+SLS)	**559,851**	**226,276**	**624,034**	**636,227**	**514,469**	**145,824**	**80,563**	**97,227**	**324,549**	4 **628,170**	5 **303,621**

Highlights

1 **Seller standalone P&L $117k**

- 2 -$8k (-0.1% GMV) vs target is within +/- 0.5% fluctuation buffer of target
- 3 **+$14k MoM** due to price increase required to reach breakeven, the change takes full effect in Oct (versus partial impact in Sep when the price change happened H2)

4 **Total P&L $628k**

- 5 **+304k MoM,** mainly driven by 1) +$210k A MP PC2 improvement and 2) +$77k SLS P&L driven by topline growth

SIP SLS lead time [FY25 overview]: E2E LT -14% YoY (22% faster than CNCB); LH+CC LT -26% YoY (44% faster than CNCB), driven by better capacity planning and closer monitoring with vendors

		FY24 Overall	FY25													FY24 vs FY25		FY25 CNSLS	SIP vs CN	
			Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Overall					
LH+CC	**Top 5 lanes**																			
	ID-MY	2.4	1.9	2.4	2.4	2.2	1.8	1.8	1.9	1.9	1.8	1.8	1.8	1.9	1.9	-21%	1	2.8	-32%	
	ID-PH	2.7	2.3	2.1	2.1	2.0	2.2	2.4	2.4	2.1	2.2	2.4	2.4	2.4	2.3	-15%		3.0	-23%	
	ID-SG	1.4	1.4	1.2	1.3	1.2	1.4	1.3	1.2	1.3	1.4	1.3	1.3	1.4	1.3	-7%		2.2	-41%	
	VN-MY	5.5	4.3	5.4	4.6	4.7	4.4	4.0	3.7	3.6	4.0	4.0	4.2	4.2	4.2	-24%	1	2.8	50%	2
	MY-SG	1.0	0.4	0.3	0.4	0.5	0.3	0.3	0.3	0.3	0.4	0.3	0.3	0.3	0.3	-70%		2.2	-86%	
	Overall	2.2	1.7	1.9	1.8	1.8	1.6	1.6	1.6	1.5	1.6	1.6	1.6	1.7	1.6	-26%		2.8	-42%	
E2E	**Top 5 lanes**																			
	IDMY	6.6	5.6	6.1	6.8	6.5	5.5	5.6	5.7	5.7	5.7	5.7	5.7	5.8	5.9	-11%		6.2	-5%	
	IDPH	7.2	6.3	6.0	6.6	6.5	6.2	6.7	6.7	6.3	6.2	6.6	6.6	6.6	6.5	-10%		7.3	-11%	
	IDSG	5.4	4.7	4.6	5.2	5.0	4.7	4.6	4.7	4.9	4.9	4.9	4.9	5.0	4.9	-9%		5.4	-9%	
	VNMY	10.0	8.1	9.8	7.6	7.7	7.3	7.1	6.5	6.6	7.3	7.3	7.5	7.5	7.4	-26%		6.2	19%	2
	MYSG	3.9	3.5	3.3	3.4	3.6	3.2	3.2	3.0	3.1	3.2	3.2	3.2	3.2	3.2	-18%		5.4	-41%	
	Overall	6.1	5.2	5.4	5.7	5.6	5.0	5.1	5.0	5.0	5.1	5.2	5.2	5.2	5.2	-14%		6.7	-22%	

Highlights:

- YoY LH+CC and E2E LT has reduced by 26% and 14% respectively.

1 IDMY / VNMY LH LT YoY reduction > 20% due to (1) volume split across 2-3 export/import ports to reduce capacity constraint (2) closely work with key vendors this year to do advance capacity planning and execute ad-hoc solution during peak season

2 VNMY E2E LT higher than CNCB by 20%, with LH+CC LT higher by 50% due to (1) limited VN export flight resource - direct flight capacity are scarce for VN export routes (2) limited VN export custom clearance time - custom official works 9-5.30 Mon to Sat, which made same-day flights or Sunday flights no possible

SIP SLS CPO [FY25 overview]: LH+CC/kg -14% YoY (63% lower than CNCB); CPO -10% YoY with savings reinvested to SIP topline growth; CPO 12% higher than CNCB due to 3x heavier in avg parcel weight

		FY24 Overall	FY25													FY24 vs FY25	FY25 CNSLS	SIP vs CN
			Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Overall			
LH+CC/kg	**Top 5 lanes**																	
	ID-MY	1.67	1.64	1.68	1.58	1.60	1.58	1.57	1.50	1.47	1.49	1.56	1.57	1.59	1.57	-6%	2.44	-36%
	ID-PH	4.86	3.82	3.97	3.89	4.55	4.07	3.87	3.49	3.52	3.51	3.48	3.52	3.55	3.77	-22%	4.96	-24%
	ID-SG	1.12	1.08	1.13	1.02	1.02	1.02	1.01	0.98	1.01	1.01	1.01	1.02	1.03	1.03	-8%	2.09	-51%
	VN-MY	2.46	2.41	2.39	2.32	2.41	2.46	2.24	2.33	2.26	2.24	2.20	2.22	2.24	2.31	-6%	2.44	-5%
	MY-SG	0.38	0.38	0.38	0.19	0.19	0.19	0.19	0.17	0.17	0.15	0.15	0.15	0.16	0.21	-46%	2.09	-90%
	Overall	1.49	1.34	1.36	1.30	1.25	1.31	1.34	1.22	1.20	1.27	1.27	1.28	1.29	1.29	-14%	3.47	-63%
	Air	2.22	1.98	2.05	1.93	2.09	2.10	2.07	1.92	1.89	1.92	1.92	1.94	1.96	1.98	-11%	/	/
	Trucking	0.38	0.38	0.38	0.19	0.19	0.19	0.19	0.17	0.17	0.15	0.15	0.15	0.16	0.21	-46%	/	/
CPO	**Top 5 lanes**																	
	ID-MY	1.45	1.44	1.53	1.49	1.59	1.64	1.55	1.52	1.48	1.46	1.45	1.47	1.48	1.51	4%	1.36	11%
	ID-PH	2.12	1.63	1.67	1.64	1.85	1.72	1.62	1.52	1.49	1.47	1.41	1.43	1.44	1.57	-26%	1.35	17%
	ID-SG	1.98	1.88	1.92	1.87	1.84	1.87	1.87	1.84	1.80	1.80	1.78	1.80	1.81	1.84	-7%	1.90	-3%
	VN-MY	1.71	1.64	1.70	1.80	1.89	1.90	1.82	1.85	1.81	1.79	1.74	1.76	1.78	1.79	5%	1.36	32%
	MY-SG	2.04	1.79	1.80	1.68	1.60	1.65	1.62	1.63	1.54	1.53	1.46	1.47	1.49	1.60	-21%	1.90	-16%
	Overall	1.77	1.61	1.67	1.61	1.69	1.70	1.63	1.60	1.55	1.53	1.49	1.50	1.52	1.59	-10%	1.43	12%
	Air	1.71	1.56	1.63	1.59	1.72	1.72	1.64	1.59	1.55	1.53	1.49	1.51	1.52	1.59	-7%	/	/
	Trucking	2.04	1.79	1.80	1.68	1.60	1.65	1.62	1.63	1.54	1.53	1.46	1.47	1.49	1.60	-21%	/	/

Highlights:

1. YoY LH+CC/kg and CPO has reduced by 14% and 10% respectively. LH+CC/kg is better than CN in MY/PH/SG. CPO is worse than CN in IDMY, IDPH, VNMY mainly due to SIP avg parcel weight is 3x heavier than CN (0.44kg vs 0.17kg).
2. MYSG LH cost reduced by 46% mainly due to a **change in vendor and charging method**. Shifted to FTL charging method since 2H 24, which allows us to reduce cost with maximised truck capacity.
3. ID-MY and VN-MY CPO increase YoY due to the **increase in average parcel weight** resulting in increase of LM and LH cost/pcs.

System/Product: Key system launches in Oct: 1) IDMY Direct auto-payout to local wallet ; 2) Local SIP order sync fail dashboard

#	Biz ETA	Confirmed ETA	Feature Name	P	Description	Status	Pipeline Submitted	OKR	Highlights
1	Q2 2025	TBC	SIP set regional discount	P1	Regional discount phase 2 to support SIP set. Projected ADO uplift of ~4.5k, annual incremental GMV USD 17.5M	PRD	Q1 2025	Growth	
2	Q4 2024	Jul 2025	Local SIP X Resell	P1	To onboard Local SIP to CB Resell biz model	Released	Q3 2024	Growth	
3	Q2 2025	TBC	Indicate Prim SKU Info in Affi Order Detailed Page	P1	Show Prim SKU info in Affi order details to help sellers match products accurately and avoid fulfillment mistakes	PRD	Q2 2025	Growth	
4	Q2 2025	TBC	Use Lowest Settlement Price for Affi SKUs	P1	If there are multiple MPSKUs under 1 MTSKU, use the lowest settlement price for Affi SKUs to lower down SIP price	FRF	Q2 2025	Growth	
5	Q4 2025	2 Dec	Direct Selling Payment Solution Phase 2-Direct Balance	P1	Build a separate wallet for direct shop	Dev	Q4 2025	Growth	
6	Q4 2025	16 Oct	Automate the payee binding of SIP/Swarm shops	P1	Based on BI data output, system automate the whole payee binding flow	PRD	Q4 2025	Operation efficiency	Live test done, roll out to all Tenpay channel on 10.23
7	Q3 2025	TBC	Support Ops Open Direct Shop in BDC	P1	Support ops to open direct shop for sellers in BDC without seller confirmation	PRD	Q3 2025	Growth	Under PRD, target to review by end of Oct.
8	Q3 2025	TBC	Sync Listing Limit from Local to Direct	P1	Sync listing limit from main shop to direct shop to improve sku migration rate	Dev	Q3 2025	Growth	UAT ongoing, target to live on 30 Oct.
9	Q3 2025	TBC	Direct Sell Chat Improvement	P1	Improvements for supporting seller check My Inquiry tab and other minor UI/UX	PRD	Q3 2025	Growth	
10	Q3 2025	TBC	Price Calculator for Direct Sell	P1	Improve the price display in seller center for better seller experience	FRF	Q3 2025	Growth	
11	Q2 2025	TBC	Support return direct shop to SIP	P1	Return direct shop to local SIP model, rebuild the listing and account structure	FRF	Q2 2025	User Experience	
12	May 2025	Q3 2025	SIP Listing auto-resync failed cases and reason code enhancement	P1	Review and optimize existing list of listing resync fail reasons and to automate listing auto-resync based on reason code	Dev	Q2 2025	Growth	
13	Sep 2025	9/Oct	Local SIP Order Sync Fail Alert optimization	P1	Optimize Local SIP order sync fail alerts provided by Order team to improve SIP operations and order handling	Go-live	Q2 2025	User Experience	Live release planned for 24 Oct
14	Jun 2025	TBC	Support JP CB SIP	P1	Allow JPCB sellers to use JPSC and join CB SIP	FRF	Apr 2025	Growth	
15	TBC	TBC	CBSIP Price Calculation Revamp	P1	Enable region transaction fee used in SIP Item Price and ASKU price	FRF	-	User Experience	
16	TBC	TBC	SIP model-level weight/dimension	P1	Support model-level weight/dimension for SIP pricing logic	FRF	-	Cost Reduction	FRF completed, to be submitted for Oct roadmap submission
17	Aug 2025	24/Sep	Force update P order to cancelled	P0	To avoid fraud, force update P order to be cancelled when A order is cancelled by buyer	Releasing	Aug 2025	Cost Reduction	
18	Aug	Nov	Local SIP P price selection logic enhancement	P1	Improve legacy SIP P price selection logic for P order settlement where SIP A order is placed using A-site promo	FRF	Aug 2025	Cost Reduction	
19	Q1 2026	TBC	Support CNSIP new A sites: KH/LA	P1	To support CNSIP new lane expansion to AME buyer markets in Cambodia (KH) and Laos (LA)	FRF	Sep 2025	Growth	
20	Q1 2026	TBC	AME phase 2 - P seller to chat with A buyer directly	P1	Allow Local SIP P seller to chat with A site buyer directly to reduce reliance on SIP chat agents	FRF	-	Cost Reduction	BRD in progress, target to complete by 31 Oct

[Backup] Q4-25 SIP team focus: continue growth momentum with 1) automate SIP optimization initiatives; 2) launch and scale up direct selling; 3) assess opportunity space to scale up warehouse cross-selling regionally

BU	Key growth levers Q1-Q3	Key growth levers Q4
Local SIP	• **Improved SKU acquisition and migration** • **Improved marketing ROI**, shifting budget to high ROI SKUs, dedicate budget to new SKU incubation • **Improved price competitiveness**, remove markup from non-performing SKUs	• **Automate marketing/pricing optimization initiatives** • **Grow penetration in PH and TH** via focus categories and local seller programs • **Accelerate trendy SKU push**
CNSIP	• **Expanded seller/SKU/ADO coverage** of CNCB • **Improved seller acquisition** and seller education • Replicated local SIP best practices	• **Continue driving up SKU supply** (increase coverage, acquisition, system migration effi) • **Double-down on ADO drivers** (price bidding, AMS, video) • **Optimize new SKU incubation**
Direct selling	• **Built system infrastructure** with improvement pipeline • **Mobilized local market resources** to soft-launch • **Supported local markets** in seller pitching, support, and ADO driving initiatives	• **Complete launch of 22 lanes** • **Scale up SKU acquisition and SKU effi improvement** with local markets • **Establish regional support framework and ops** for growth (e.g. guidebooks, SOPs, payment ops)
WH cross-selling	• **Improved SKU migration efficiency** from MYWH>SG • **Launched CB FBS and local FBS cross-selling** capabilities with SIP	• **Improve SKU migration** • **Drive SKU effi** via local seller program • **Explore scale-up of local FBS x SIP** in ID, VN and other SIP lanes

3.1 CNSIP seller acquisition progress

CNSIP Performance: Oct MTD ADO 32.5K; +2.8k vs Sep, +10.2k since start of CNSIP revamp effort from May

Metrics	Details	May	Jun	Jul	Aug	Sep	Oct MTD	MoM	MTD RR	Nov Target	Dec Target
Topline	Overall	**22,345**	**22,976**	**24,019**	**29,239**	**29,708**	1 **32,551**	10%	95%	**39,497**	**41,081** 2
	... [+] Incubation	0	0	2,313	3,814	5,964	8,326	40%	82%	11,141	11,033
	... [+] Price reduction	5,623	6,222	5,730	6,416	7,450	7,153	-4%	95%	7,050	8,247
	... Others (Organic + Ads)	16,722	16,754	15,976	19,009	16,294	17,072	5%	99%	21,307	21,801
SKU		25.2 M	36.8 M	42.5 M	78.4 M	105.7 M	115.4 M	9%	101%	117.3 M	119.2 M
Seller PnL	$, monthly	$19,752	-$200,977	-$200,198	-$316,907	-$5,524	$0	-	-	$0	$0
	% of GMV	0.34%	-3.52%	-3.12%	-4.16%	-0.07%	0.00%	-	-	0.00%	0.00%

Highlights

1 **Oct MTD ADO 32.5K, 95% RR, +10% MoM**
- [Incubation] New SKU migrated generate 8.3K ADO, 82% RR. Lagging RR mainly due to lower SKU efficiency than projected in VN market after price increase due to CB custom tax implementation.

2 **Progress as compared to May**
- [SKU] +90M new SKUs (+358%), by 1) enhancing pitching/repitching; 2) improving migration efficiency. SKU growth slowing down as large batch migration completed.
- [ADO] +10.2k ADO (+45%), mainly drive by 1) +8.3k ADO from new SKUs organic + ads growth; 2) +1.5k ADO from price reduction

- **Targets: Expect to hit 41K ADO (+8.5k vs Oct) by Dec while maintaining seller pnl breakeven**
- **Additional growth drivers for Nov-Dec**
  - Reduce price for non-performing SKUs extending to SKUs with age < 60 days; **target ADO uplift ~3k; ETA: trial started from 23rd Oct**
  - Ramp up AMS coverage in PH/VN market (80% coverage in SG/MY/TH done); **target ADO uplift ~1k; ETA: end-Oct**
  - Optimize marketing budget ROI: **target ADO uplift ~1k by Dec**

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Seller acquisition: 100k GP/ 283M SKU acquired since May. GP acceptance rate improved to 91% (123% RR), mainly driven by 1) enhancing RM/seller training; 2) addressing seller settlement pain points

CNSIP seller pitching results May-Oct

Seller type	Pitched		Accepted		Acceptance rate	
	GP#	SKU#	GP#	SKU#	GP#	SKU#
Total [1]+[2]+[3]	**132,437**	**434,840,496**	**100,760**	1 **283,309,263**	**76%**	**65%[1]**
[1] New sellers	**116,169**	**359,168,376**	**95,385**	**263,875,486**	**74%**	**71%**
… May pitching batch	4,326	14,642,255	3,301	7,405,920	2 76%	51%
… Jun pitching batch	6,851	11,340,662	5,147	3,072,100	75%	27%
… Jul pitching batch	25,166	48,818,258	16,067	36,056,565	64%	74%
… Aug pitching batch	25,643	243,721,544	21,381	180,104,756	83%	74%
… Sep pitching batch	54,183	40,645,657	49,489	37,236,145	91%	92%
… Oct pitching batch (WIP)	12,837	63,793,609	WIP	WIP	WIP	WIP
[2] Previously rejected sellers (3 batches in May, Jun, Jul)	**13,585**	**67,614,377**	**5,207**	**18,922,990**	**38%**	**28%**
[3] Previously opt out sellers (Jul)	**2,683**	**8,057,743**	**168**	**510,787**	**6%**	**6%**

Highlights

1. **Start from May, 100K GP/283M SKU acquired.** SKU volume significantly improved since Aug with new product function to support Group A SKUs (cross-migration of SKUs not self-listed by Direct shops)
2. **Seller acceptance rate keep improving to 91% in Sep batch. + 16% vs May, driven by:**
   - Educate sellers to understand SIP:
     - Seller facing livestream training
     - SEH article revamp
     - BAU education materials through Wecom
     - New shop order shipment reminder and education
   - Enhance RM support and collaboration: provide internal training to RM and CS; co-work on Dino launch in Sep.
   - Deep dive into reject reasons: Guide sellers to avoid pricing issues from seller side; working on product revamp.

SIP coverage in CNCB: With continuous education and pitch, sellers contribute 65% CNCB ADO already joined SIP; 13% ADO out of 35% gap can be potentially addressable; target 70% ADO coverage by end of year

SIP coverage over CNCB MP sellers (L30D ADO>0 GPs)

Seller segment	Seller distribution			Seller coverage		
	# GP	# MTSKU	L30D ADO	% GP	% MTSKU	% L30D ADO
[A] on CNSIP	**47,205**	**956,688,697**	**1,809,184**	1 **55%**	**84%**	**65%**
[B] not on CNSIP	**39,310**	**178,620,297**	**955,535**	**45%**	**16%**	**35%**
... [B1] Pure LFF shop, currently only MYSG lane workable	7,153	30,654,480	287,362	8%	3%	10%
... [B2] Rejected invitation between July and Sep	3886	21,007,332	212,543	4%	2%	2 8%
... [B3] Oct pitching WIP	4,708	47,661,841	115,421	5%	4%	4%
... [B4] New seller under incubation	17,460	60,802,600	40,284	20%	5%	1%
... [B5] Seller with negative behavior: counterfeit, high CR and etc	1,361	8,962,647	15,366	2%	1%	1%
... [B6] Others ineligible reasons or seller opt out	4,742	9,531,397	284,558	5%	1%	10%
Total [A]+[B]	86,515	1,135,308,994	2,764,719	100%	100%	100%

Highlights

1 55% CNCB sellers, contribute 65% CNCB ADO already joined SIP.

- 45% CNCB sellers, contribute 35% CNCB ADO are not on SIP yet

2 13% ADO will be addressed in end of year BAU pitching

  - [B2] historical rejected sellers will be pitched again in Jan.
  - [B3] WIP, start sale on 10.31.
  - [B4] new sellers are not pitched during incubation period. Will be pitched after 3 months incubation.

- Target total ADO coverage to 70% CNCB by end of year.

3.2 SIP CS migration and new chatbot rollout

4 SIP CS topics for update today

#	Topic	Summary
1	SIP CS Overall performance review after SIP self-control	• [Completed] ID/MY reporting line change to SIP ops • Shop CSAT: +8pp with agent migration to PH and new chatbot rollout; • Next 2 months focus on improving shop conversion and chatbot deflection
2	SIP CS performance update for Top import market	• SG: All agent performance metrics met target in L4W; Oct MTD Shop CSAT +20% vs Sep with agent migration & new chatbot rollout • MY: All agent performance met target in L7D; New chatbot rollout completed on 22 Oct, to further monitor new bot performance • PH: All agent performance met target in L4D; Next to continue optimizing PH WFM planning to stabilize AWT; ID-PH new chatbot rollout completed on 22 Oct
3	PH agent migration	• **Completed: TW (Aug), TH (Sep), SG (Sep)** • **WIP: MY (80% agent chats migrated, to complete by end-Oct)** • By Dec-25, SIP seller P&L to absorb ~$186k/month BPO cost
4	New Chatbot performance	• **Plan: Roll out new chatbot alongside agent migration to improve shop CSAT ASAP** • **PH/SG/MY/TW: New chatbot rollout completed. Shop CSAT improved by 8- 20%** • **TH: Target to rollout 30-50% chats to new chatbot by 31 Oct** • **VN: Target to rollout 30-50% chats to new chatbot by Nov after agent migration**

1.Better performance: Shop CSAT improved by +8pp with agent migration to PH and new chatbot rollout; Next 2 months focus on improving shop conversion and low chatbot deflection improvement

SIP CS performance YTD metrics and focus

Sr #	Key Pillar	Metric	Actual							MTD		Target		Change
			Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Oct vs Mar	Nov-25	Dec-25	Dec vs Mar
Overall Shop Performance: Agent + Chatbot														
1	Revenue	Chatbot+Agent Conversion	10%	10%	10%	10%	9%	9%	9.76%	10%	0%	11%	12%	4%
2	UX	Shop CRR	98%	99%	97%	98%	99%	98%	97%	98%	0%	98%	98%	0%
1 3	UX	Shop CSAT	54%	54%	63%	57%	53%	56%	57%	62%	8%	62%	62%	8%
In Shop Agent														
2 4	Revenue	Agent Conversion Rate	13%	12%	10%	16%	13%	12%	13%	13%	0%	14%	15%	2%
5	UX	Agent CSAT	76%	83%	84%	85%	86%	85%	85%	85%	9%	85%	85%	9%
6	UX	Avg. Response Time (sec)	55	59	42	63	49	30	26	21	163%	30	30	174%
7	Cost	Agent Productivity (L1)	11	13	16	16	16	16	15	18	62%	16	16	11%
8	UX	Abandonment Rate	1.0%	1.1%	0.9%	2.0%	1.0%	2.0%	1.0%	1.0%	0%	2%	2%	-
9	UX	Average Waiting Time in Queue	4.8	4.8	30.2	5	6	13	7.5	12.6	-162%	5	5	-
Chatbot														
10	Revenue	Chatbot Conversion Rate	8%	8%	8%	8%	9%	9%	9%	9%	1%	10%	11%	7%
3 11	UX	Chatbot CSAT	40%	39%	45%	34%	33%	36%	36%	39%	-1%	45%	45%	5%
12	Cost	Chat Deflection Rate	67%	59%	55%	60%	69%	70%	63%	49%	-18%	**45%**	**45%**	-22%

Highlights

1 **[SIP CS performance improvement]**
Shop CSAT improved by +8pp with agent migration and new chatbot rollout. Next to improve chat quality and conversion by Dec-25

2 **[Agent performance]**
All performance metrics on target and improved vs Before migration;

Oct MTD Average waiting time off mainly driven by 1) agent absence due to PH earthquake; 2) volume spike from MY/PH

3 **[SIP chatbot performance]**
New chatbot higher CSAT offset by old chabot CSCAT drop
Deflection rate decrease due to new chatbot rollout

[SIP CS focus next 2 months]
Improve shop conversion and chatbot deflection
via 2 main approach: 1) Continuous enhancement of agent upselling performance; 2) Deep dive into low chatbot deflection rates

2.CS performance - SG as import market: All agent performance metrics met target in L4W; Oct MTD Shop CSAT +23% vs Sep with agent migration & new chatbot rollout

SG			Oct MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	23 Oct	22 Oct	21 Oct	20 Oct	19 Oct	18 Oct	17 Oct	20 Oct	13 Oct	06 Oct	29 Sep	Oct	Sep	Aug
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	46,343	43,403	46,945
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	111%	-	-	12%	12%	11%	12%	11%	12%	11%	12%	11%	12%	10%	11%
UX	Shop CRR	%	97%	101%	-	-	98%	98%	99%	98%	98%	98%	98%	97%	98%	98%	98%	98%
	Shop CSAT 2	%	48%	137%	-	-	66%	66%	62%	65%	59%	73%	63%	65%	65%	65%	42%	44%
Agent performance																		
Revenue	Agent Conversion Rate 1	%	13%	136%	14%	18%	18%	19%	17%	17%	18%	17%	19%	19%	14%	18%	17%	17%
UX	Agent CSAT	%	80%	107%	85%	83%	89%	91%	87%	83%	77%	87%	84%	86%	86%	86%	81%	82%
	Agent Avg. Response Time(Sec)	Sec	30	144%	23	21	20	22	25	26	26	21	23	18	22	21	29	28
	Agent Abandonment Rate	%	2%	260%	1%	0%	1%	0%	0%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	174%	1	1	1	1	1	1	5	1	3	4	2	3	13	4
Cost	Agent Productivity (L1)	%	14	134%	19	21	20	17	19	18	17	19	18	20	18	19	12	15
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FAQ]	%	9%	118%	-	-	10%	10%	10%	10%	9%	10%	10%	11%	11%	11%	9%	10%
UX	Chatbot CSAT 2	%	30%	122%	-	-	32%	30%	27%	39%	31%	31%	35%	39%	37%	37%	22%	19%
	Chat Deflection Rate[Chatbot+FAQ]	%	35%	103%	-	-	36%	35%	37%	35%	36%	36%	33%	38%	39%	36%	50%	56%

Highlights

1 **All agent performance metrics met target in L4W, after full migration by 30 Sep**
- Actions taken to recover AWT: unbind non-performing shops to reduce chat volume; improved WFM planning to ensure sufficient staffing
- Agent productivity in Sep miss target due to SG/PH agents overlap during migration transition period, and fully recovered after migration completion

2 **Shop CSAT +23pp after new chatbot rollout**
- 24 Sep: 50% of chats (excluding ID-SG lane) moved from old to new chatbot
- 22 Oct: 30% of ID-SG chats moved from old to new chatbot, rollout percentage was determined based on actual chatbot deflection rate
- New bot performance analysis to be shown in page 32; next to deep dive low deflection reasons and propose next steps

2.CS performance - MY as import market: All agent performance met target in L7D; New chatbot rollout completed on 22 Oct, to further monitor new bot performance

MY			Oct MTD		L7D							Weekly				Monthly		
Function	Metric	Unit	Target	RR	23 Oct	22 Oct	21 Oct	20 Oct	19 Oct	18 Oct	17 Oct	20 Oct	13 Oct	06 Oct	29 Sep	Oct	Sep	Aug
Order	ADO	#	-	-	-	-	-	-	-	-	-	-	-	-	-	70,267	70,176	62,488
Overall																		
Revenue	Chatbot+Agent conversion	%	10%	100%	-	-	10%	10%	10%	10%	10%	10%	10%	11%	10%	10%	10%	
UX	Shop CRR	%	97%	101%	-	-	98%	98%	98%	97%	98%	98%	98%	98%	97%	98%	98%	
	Shop CSAT	%	57%	109%	-	-	70%	74%	71%	65%	64%	76%	62%	62%	62%	62%	55%	
Agent performance																		
Revenue	Agent Conversion Rate 1	%	13%	117%	12%	15%	18%	17%	17%	16%	14%	15%	15%	16%	14%	15%	13%	11%
UX	Agent CSAT	%	80%	109%	88%	86%	89%	87%	87%	88%	85%	88%	86%	88%	88%	87%	86%	86%
	Agent Avg. Response Time(Sec)	Sec	30	146%	21	21	23	26	23	24	26	22	22	18	22	21	22	23
	Agent Abandonment Rate	%	2%	176%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)	Min	5.0	100%	2	2	1	1	4	2	2	2	6	8	3	5	15	7
Cost	Agent Productivity (L1)	%	14	116%	18	17	15	14	16	16	14	16	16	16	17	16	18	19
Shopbot Peformnace																		
Revenue	Chatbot Conversion [chatbot+FA 2	%	9%	100%	-	-	8%	8%	9%	8%	7%	8%	8%	9%	9%	9%	9%	
UX	Chatbot CSAT	%	30%	130%	-	-	36%	40%	43%	41%	40%	38%	39%	40%	39%	39%	35%	
	Chat Deflection Rate[Chatbot+FAQ]	%	50%	109%	-	-	47%	50%	50%	50%	49%	49%	50%	56%	58%	55%	63%	

Highlights

- **Agent migration to PH:** started from 1 Oct, 90% chats migrated to PH agents, target completion by end Oct.
- 1 **All agent performance metrics met target in L7D**
  - Actions taken to recover AWT: unbind non-performing shops to reduce chat volume; improved WFM planning to ensure sufficient staffing
- 2 **SIP MY New chatbot rollout completed**
  - 20 Oct: 50% of MY chats (excluding ID-MY lane) moved from old to new chatbot
  - 22 Oct: 30% of ID-MY chats moved from old to new chatbot, rollout percentage was determined based on current ID agent capacity
  - Next to continue monitoring new bot performance, and do cross-comparison with other markets

2.CS performance - PH as import market: All agent performance met target in L4D; Next to continue optimizing PH WFM planning to stabilize AWT; ID-PH new chatbot rollout completed on 22 Oct

PH				Oct MTD		L7D							Weekly				Monthly		
Function	Metric		Unit	Target	RR	23 Oct	22 Oct	21 Oct	20 Oct	19 Oct	18 Oct	17 Oct	20 Oct	13 Oct	06 Oct	29 Sep	Oct	Sep	Aug
Order	ADO		#	-	-	-	-	-	-	-	-	-	-	-	-	-	56,917	54,821	49,780
Overall																			
Revenue	Chatbot+Agent conversion	1	%	9%	100%	-	-	8%	8%	8%	8%	9%	8%	9%	9%	9%	9%	9%	9%
UX	Shop CRR		%	97%	101%	-	-	98%	99%	98%	98%	98%	98%	98%	97%	98%	98%	98%	98%
	Shop CSAT		%	48%	119%	-	-	60%	65%	56%	55%	60%	67%	57%	55%	57%	56%	59%	50%
Agent performance																			
Revenue	Agent Conversion Rate	2	%	11%	114%	12%	12%	14%	14%	13%	12%	14%	13%	13%	13%	11%	12%	13%	10%
UX	Agent CSAT		%	80%	103%	83%	82%	81%	83%	83%	80%	81%	82%	81%	83%	85%	83%	86%	84%
	Agent Avg. Response Time(Sec)		Sec	30	190%	17	17	20	19	17	16	20	18	17	14	16	16	16	14
	Agent Abandonment Rate		%	2%	168%	1%	1%	0%	0%	1%	1%	1%	1%	1%	2%	1%	1%	1%	1%
	Avg. Waiting Time in Queue (Min)		Min	5.0	375%	1	2	1	1	7	28	4	1	12	38	7	15	12	11
Cost	Agent Productivity (L1)		%	14	131%	18	18	17	17	18	17	14	17	17	19	21	18	21	21
Shopbot Peformnace																			
Revenue	Chatbot Conversion [chatbot+FA	1	%	8%	102%	-	-	7%	7%	8%	7%	8%	7%	8%	8%	8%	8%	8%	8%
UX	Chatbot CSAT		%	30%	131%	-	-	37%	37%	36%	39%	41%	37%	39%	39%	40%	39%	37%	33%
	Chat Deflection Rate[Chatbot+FA	3	%	56%	102%	-	-	54%	54%	56%	56%	55%	54%	54%	58%	60%	57%	47%	60%

Highlights

1. **Shop Conversion Rate** missed target last week, mainly due to lower chatbot CR; Chatbot CR is expected to improve after new chatbot rollout, to continue monitoring
2. **All agent performance met target from 20 Oct**
   - Actions taken to recover AWT: unbind non-performing shops to reduce chat volume; reskill training ongoing, agents from other markets are able to support PH during chat spikes
   - 18 Oct: long AWT caused by 1 agent absenteeism, next to continue optimizing WFM planning and arrange overtime when necessary
3. **SIP PH New chatbot rollout completed**
   - 18 Aug: 30% of chats (excluding ID-PH lane) moved from old to new chatbot
   - 22 Oct: 30% of ID-PH chats moved from old to new chatbot, rollout percentage was determined based on current ID agent capacity

3. Agent migration to PH: SEA+TW migration on track to complete by Nov-25; LATAM and adjacent markets to migrate start from Jan-26; headcount projections in progress for newly added markets

	SIP Buyer Market	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26
	PH				Migration to SID portal					
1	SG			Migration+New chatbot						
	MY				Migration+New chatbot					
	TH	Pilot	Migration	Migration						
1	TW	Pilot	Migration							
	VN					Migration+New chatbot				
	BR							Migration		
	MX,CO,CL							Migration		
2	KH/MM/LA								New market rollout	

Highlights

- 1 **TW/TH: complete agent migration by Aug/Sep, post-migration performance on next page**
- **SG: complete migration + chatbot rollout by Sep, post-migration performance on next page**
- PH: complete chatbot rollout by Sep
- Other lanes: SEA+TW complete migration + chatbot rollout by Oct/Nov; Latam ETA Q1
- 2 **Adjacent market: rollout with agent set up in PH, work in progress of headcount projection**

3. [SG] Agent migration to PH: SG migration fully completed with all KPIs on target and better post-migration performance

SG					
	Target	Before migration	After migration	RR	After vs Before
Agent conversion rate 1	13%	17%	19%	146%	2%
Agent CSAT	80%	82%	86%	108%	4%
Agent Avg Response time/s	30	28	21	142%	-24%
Agent Productivity 2	14	15	18	131%	22%
Abandonment rate	2%	1.00%	0.0%	200%	-1.0%
Avg waiting time in Queue (min)	5	4.0	1.2	200%	-284.1%

Highlights

- SG has fully migrated 100% of shops to agents in PH
- **All performance metrics are on target** and have improved compared to pre-migration levels. Actions have been implemented to further enhance overall agent performance:
  - **Standardized and optimized agent SOPs** to drive higher CSAT, improve productivity, and reduce average response time.
  - **Enhanced agent enablement programs** focused on upselling, substitution, and cross-selling techniques to boost conversion rates.
  - **Refined workforce management (WFM) model and implemented cross-market training** initiatives to enable agents to efficiently support multiple markets and balance chat volumes.

3. [TW] Agent migration to PH: TW migration fully completed with all KPIs on target

TW					
	Target	Before migration	After migration	RR	After vs Before
Agent conversion rate 1	13%	16%	19%	145%	3%
Agent CSAT 2	80%	85%	89%	111%	4%
Agent Avg Response time/s	30	31	24	123%	-22%
Agent Productivity	14	13	17	121%	31%
Abandonment rate	2%	1.0%	1.2%	170%	0.2%
Avg waiting time in Queue (min)	5	5.0	4.4	113%	-11%

Highlights

- TW has fully migrated 100% of shops to agents in PH
- **All performance metrics are on target** and have improved compared to pre-migration levels. Actions have been implemented to further enhance overall agent performance:
  - **Standardized and optimized agent SOPs** to drive higher CSAT, improve productivity, and reduce average response time.
  - **Enhanced agent enablement programs** focused on upselling, substitution, and cross-selling techniques to boost conversion rates.
  - **Refined workforce management (WFM) model and implemented cross-market training** initiatives to enable agents to efficiently support multiple markets and balance chat volumes.

3. [TH] Agent migration to PH: TH migration fully completed with most KPIs on target

TH		Target	Before migration	After migration	RR	After vs Before
Agent conversion rate	1	13%	12%	11%	85%	-1%
Agent CSAT	2	80%	89%	85%	107%	-4%
Agent Avg Response time/s		30	43	20	150%	-53%
Agent Productivity		14	21	21	150%	0%
Abandonment rate		2%	0.1%	0.1%	2000%	0.0%
Avg waiting time in Queue (min)		5	4.0	2.0	250%	-50.0%

Highlights

- TH has fully migrated 100% of shops to agents in PH
- Majority of the performance metrics on target, except conversion rate

1 **Agent conversion rate:** More chats involving **irate customers** due to order cancellations and late shipments, agents are unable to apply upselling strategies.

2 **Agent CSAT:** CSAT remains on target following the migration, but is reduced versus before migration, largely due to a **decline in buyer chat responses.** Poor CSAT cases improved from 3% before migration to 2% after.

Satisfaction level	PH agents	TH agents
0 (no satisfaction level given)	86%	74%
1 (good CSAT)	10%	20%
2 (Average)	1%	3%
3 (Bad CSAT)	2%	3%

4. New chatbot rollout: SEA+TW rollout on track to complete by Nov-25; LATAM and adjacent markets to start from Jan-26

	SIP Buyer Market	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26
1	PH	New chatbot rollout (non-IDSIP)		ID-PH rollout					
	SG		New chatbot rollout (non-IDSIP)	ID-SG rollout					
	TW		New chatbot rollout						
	TH			New chatbot rollout					
	MY			New chatbot rollout					
	VN				New chatbot rollout				
	BR						New chatbot rollout		
	MX,CO,CL						New chatbot rollout		
	KH/MM/LA							New market rollout [TBC]	

Highlights

1. **PH/TW/SG: complete new chatbot rollout for non-IDSIP lanes in Sep. Performance update on next slide**
- TH/MY/IDSIP: to complete chatbot rollout by Oct
- VN: to complete chatbot rollout by Nov
- Overall timeline: SEA+TW complete chatbot rollout by Nov; Latam ETA Q1; Adjacent market pending RBX confirmation on ETA.

4. PH New chatbot rollout performance: Conversion Rate and CSAT improved, Deflection Rate dropped 30-40%; Next to deep dive low Chatbot DR and complete new chatbot rollout to monitor overall performance

PH	SIP 30% chats on new bot	SIP Old Bot	SIP New Bot	New vs Old	CB Choice	PH SBS
Chatbot Conversion Rate [Chatbot+FAQ]	8.2%	8.1%	8.6%	0.4%	9.6%	8.8%
Chatbot CSAT	38.2%	35.2%	69.7%	34.5%	67.2%	60.7%
Chatbot Deflection Rate (binding shops only)	80.7%	87.0%	47.6%	-39.4%	71.1%	48.3%

SG	SIP 50% chats on new bot	SIP Old Bot	SIP New Bot	New vs Old	CB Choice	SG SBS
Chatbot Conversion Rate [Chatbot+FAQ]	10.9%	10.3%	13.3%	3.1%	13.9%	11.2%
Chatbot CSAT	38.3%	23.8%	73.9%	50.1%	67.1%	55.5%
Chatbot Deflection Rate (binding shops only)	57.2%	63.1%	41.4%	-21.7%	58.0%	34.1%

TW	SIP 30% chats on new bot	SIP Old Bot	SIP New Bot	New vs Old	CB Choice	TW SBS
Chatbot Conversion Rate [Chatbot+FAQ]	10.3%	9.6%	12.9%	3.3%	14.2%	18.1%
Chatbot CSAT	56.3%	48.2%	73.4%	25.2%	80.2%	69.9%
Chatbot Deflection Rate (binding shops only)	66.9%	76.0%	45.2%	-30.8%	68.5%	42.4%

Highlights

- **Overall new chatbot performance is in line with expectations and consistent with A/B testing results:**
  - **Chatbot Conversion Rate**: improved by 0.4% to 3%
  - **Chatbot CSAT:** 25% to 50% higher CSAT vs old bot, but overall impact on SIP is limited due to 1) lower rating rate from newbot; 2) 30-50% chats rollout to new bot since low deflection of new bot
  - **Chatbot Deflection Rate**: 20-40% lower than old bot, next to analyze root cause and improve DR
- **Next to complete new chatbot rollout plan and monitor overall performance**

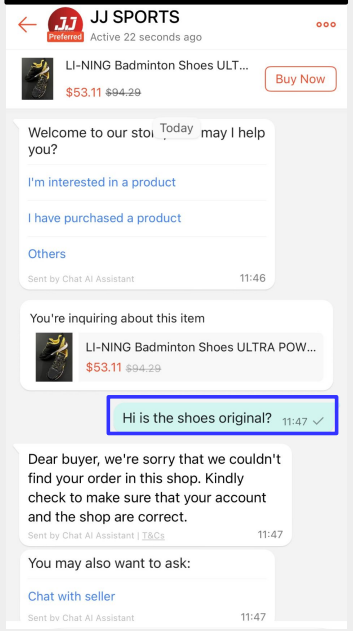
Private & Confidential

4. New chatbot deflection rate deep dive: Findings with sample non-deflected chats. Next step to analyze top chat deflection reasons and collaborate with the product team to enhance chatbot capabilities.

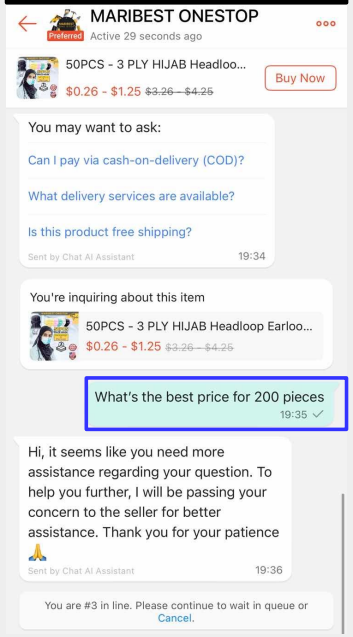
Finding 1: Bot capabilities - Risk-sensitive enquiry will be direct to agent directly, e.g.

- Authenticity and counterfeit verification (e.g., “Is this item original?”)
- Price negotiation or discount inquiries

Counterfeit Example



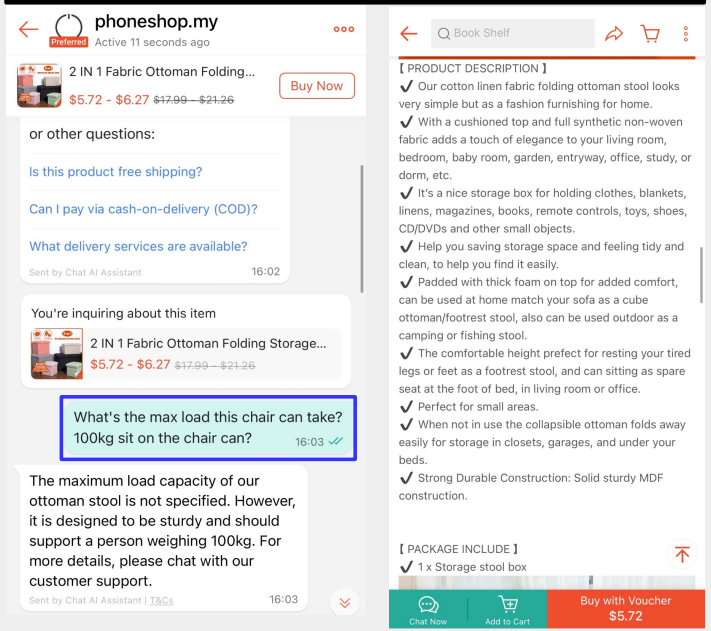
Pricing Example



Finding 2: Information gaps — Chatbot unable to respond effectively when:

- Info unavailable in PDP
- Bot cannot read images

Lack of info on Listing



Summary next steps: SIP CS focus on improving shop CSAT and CR through 1) accelerate agent migration to PH; 2) roll out new chatbot; 3) improve agent conversion via upsell/cross-selling-substitute selling

SIP	Key Tasks	Priority	Biz impact	Status	ETA
SIP - All	New SIP CS team set up for PH agents	P0	To support agent migration to PH	**Done**	Oct
IDSIP CS	Agent Conversion rate improvement	P0	IDSIP agent conversion rate improved to 16%(+ 4pp vs Aug)	**Done**	Sep
	New chatbot rollout	P1	To improve shop CSAT by 8%	**Ongoing**	Oct
SIP - SG	Agent migration + new chatbot rollout	P1	Improved shop CSAT to 68% (+20pp vs Aug)	**Done**	Sep
SIP - MY	Agent Conversion rate improvement	P0	To improve agent conversion rate by 2% after PH migration	**Ongoing**	Oct
	Agent migration + new chatbot rollout	P1	To improve shop CSAT by 8%	**Ongoing**	Oct
SIP - PH	New chatbot rollout	P0	Overall Shop CSAT improved to 60% (+10pp vs Aug)	**Done**	Aug-Sep
	Agent Conversion rate improvement	P1	Improve SIP-PH agent conversion rate by 2%	**Done**	Sep
SIP -TH	Agent migration + new chatbot rollout	P0	Agent migration completed; To improve shop CSAT by 8%	**Ongoing**	Sep-Oct
SIP -TW	Agent migration	P0	Fully completed and agent CSAT improved by 3%	**Done**	Aug
SIP -VN	Agent migration + new chatbot rollout	P1	To improve shop CSAT by 8%	**WIP**	Nov
New Chatbot	Low Deflection Rate deep dive	P1	Deep dive top deflection reasons and propose next steps	**Ongoing**	Oct-Nov

3.3 Regional Direct Selling Roll-out

Launch timeline: Total 22 direct selling export lanes planned; opened 11 lanes to MY/ID/VN/TH/SG local sellers, including latest SGMY on 24 Oct; rest 11 lanes target launch by Jan-26

Color legend: Launched | Planned

Export market	Overseas shop	Target Biz Start Date	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan-26
MY	MYSG	Launched	MYSG								
	MYPH	Launched						MYPH			
	MYTH	Launched						MYTH			
ID	IDMY	Launched			IDMY						
	IDPH	Launched						IDPH			
	IDSG	Launched						IDSG			
	IDTH	11/17							IDTH		
	IDTW	12/8								IDTW	
VN	VNMY	Launched			VNMY						
	VNSG	Launched					VNSG				
	VNPH	Launched					VNPH				
	VNTH	11/3							VNTH		
	VNTW	12/8								VNTW	
TH	THPH	Launched					THPH				
	THMY	11/24							THMY		
	THSG	11/24							THSG		
SG	SGMY	Launched						SGMY			
	SGTH	11/24							SGTH		
PH	PHMY	1/12									PHMY
	PHSG	1/23									PHSG
TW	TWMY	1/12									TWMY
	TWSG	1/12									TWSG

We are here

Highlights

11 export lanes opened direct selling option to local sellers from MY/ID/VN/TH/SG; rest of year focus on seller acquisition and seller support to ramp up their knowledge on overseas markets and CB selling capabilities

Target to launch rest 11 lanes by Jan-26, balancing 1) focus on ramping up top lanes for biz case building for Oct-Dec; 2) local ops, product resource constraint during peak seasons

Performance [Oct MTD as of 24 Oct]: 13k ADO, +24% MoM; $180k ADG, +21% MoM; 42k active sellers, +45% MoM; 3.8M live SKUs, +46% MoM

Direct selling lane	ADO						ADG						ABS					
	MTD	Target	RR	M-1	MoM	As% SIP	MTD	Target	RR	M-1	MoM	As% SIP	MTD	Target	RR	M-1	MoM	As% SIP
Total	**13,442**	**12,654**	**106%**	**10,847**	2 **24%**	**8%**	**$180,521**	**$165,327**	**109%**	**$149,319**	2 **21%**	**12%**	**$13.4**	**$13.1**	**103%**	**$13.8**	**-2%**	**153%**
... MYSG	11,436	10,627	108%	9,874	16%	50%	$150,434	$136,041	111%	$133,058	13%	54%	$13.2	$12.8	103%	$13.5	-2%	108%
... MYPH	19	19	100%	1	2103%	0%	$468	$243	193%	$16	2754%	1%	$24.5	$12.8	192%	$18.9	30%	156%
... MYTH	7	23	29%	0	1891%	1%	$137	$237	58%	$11	1146%	1%	$20.7	$10.3	201%	$33.0	-37%	166%
... IDMY	894	966	93%	553	62%	1%	$13,360	$16,787	80%	$8,495	57%	3%	$15.0	$17.4	86%	$15.4	-3%	201%
... IDSG	17	25	67%	1	2094%	0%	$314	$403	78%	$14	2074%	0%	$18.7	$16.1	116%	$18.9	-1%	176%
... IDPH	60	41	145%	0	22213%	0%	$865	$804	108%	$15	5516%	0%	$14.5	$19.6	74%	$57.7	-75%	228%
... VNMY	707	636	111%	348	103%	6%	$10,578	$8,658	122%	$6,560	61%	10%	$15.0	$13.6	110%	$18.9	-21%	171%
... VNPH	184	216	85%	42	334%	4%	$2,066	$1,090	190%	$568	264%	4%	$11.2	$5.0	222%	$13.4	-16%	101%
... VNSG	113	92	123%	27	317%	3%	$2,111	$1,029	205%	$573.4	268%	5%	$18.7	$11.2	167%	$21.2	-12%	132%
... THPH	8	9	85%	0.8	816%	0%	$187	$35	535%	$7.0	2592%	0%	$24.5	$3.9	630%	$8.3	194%	215%

Direct selling lane	# active sellers						# live SKUs						SKU effi					
	MTD	Target	RR	M-1	MoM	As% SIP	MTD	Target	RR	M-1	MoM	As% SIP	MTD	Target	RR	M-1	MoM	As% SIP
Total	**42,055**	**41,988**	**100%**	**28,910**	1 **45%**	**3%**	**3,819,948**	**3,925,710**	**97%**	**2,610,842**	1 **46%**	**6%**	**0.35%**	**0.32%**	**109%**	**0.42%**	**-0.06%**	**-**
... MYSG	9,166	9,048	101%	8,366	10%	13%	760,761	878,929	87%	750,857	1%	25%	1.50%	1.21%	124%	1.32%	0.19%	202%
... MYPH	436	318	137%	197	121%	1%	48,368	38,929	124%	23,630	105%	3%	0.04%	0.05%	81%	0.00%	0.04%	17%
... MYTH	276	383	72%	191	45%	1%	21,095	46,893	45%	17,181	23%	2%	0.03%	0.05%	64%	0.00%	0.03%	47%
... IDMY	9,734	11,037	88%	7,771	25%	4%	1,050,472	1,125,816	93%	812,277	29%	8%	0.09%	0.09%	99%	0.07%	0.02%	17%
... IDSG	2,103	1,804	117%	199	957%	1%	261,542	205,645	127%	30,165	767%	2%	0.01%	0.01%	53%	0.00%	0.00%	9%
... IDPH	2,096	1,804	116%	168	1148%	1%	251,973	205,645	123%	19,962	1162%	2%	0.02%	0.02%	118%	0.00%	0.02%	9%
... VNMY	8,212	7,314	112%	6,152	33%	8%	697,470	658,281	106%	525,117	33%	17%	0.10%	0.10%	105%	0.07%	0.04%	35%
... VNPH	5,114	4,464	115%	3,160	62%	5%	385,067	378,567	102%	240,010	60%	12%	0.05%	0.06%	84%	0.02%	0.03%	31%
... VNSG	4,879	4,077	120%	2,681	82%	5%	340,676	313,967	109%	189,853	79%	9%	0.03%	0.03%	113%	0.01%	0.02%	4%
... THPH	39	1,739	2%	25	56%	0%	2,524	73,038	3%	1,790	41%	0%	0.30%	0.01%	2455%	0.05%	0.26%	213%

Highlights

1 **Seller/SKU count**: +45%/+46% MoM; 100%/97% RR; on track to reach target by EOM. Oct focus: 1) push accepted sellers onboarding via seller center pop-ups + agent reachout; 2) improve SKU migration% via weekly mass resync

2 **ADO**: +24%/+21% MoM; 106%/109%RR. Oct focus: 1) push seller utilization on incentive programs; 2) review price mark-up factor to reduce ABS

Program P&L: healthy; some lanes are negative mainly due to first 3 months commission waiver. With more sellers moving to 4th month, in progress of working with local markets to reinvest program margin to drive growth

[Backup] Projection: Open direct selling to ~2M local sellers representing ~90% local ADO; Sep-25 29k active sellers, 11k ADO; target 22k ADO (11% of Export ADO) by Dec-25; 120k ADO (42% of Export ADO) by Dec-26

Export Market via Direct selling	Direct lane	Launch timeline	Pitching pool		# Direct selling shops				Direct selling ADO				Export ADO (SIP+Direct selling)			
			# sellers	Local ADO %	Dec-24	Sep-25	Dec-25	Dec-26	Dec-24	Sep-25	Dec-25	Dec-26	Dec-24	Sep-25	Dec-25	Dec-26
MY	3	Mar-24	210,136	89%	4,405	8,752	12,488	24,175	6,096	9,875	13,113	20,899	29,595	40,362	45,629	49,171
ID	5	Jul-25	971,769	84%	-	8,137	31,164	159,219	-	554	6,336	74,782	73,638	83,404	114,482	176,361
VN	5	Jul-25	356,335	95%	-	11,990	38,151	119,491	-	417	2,425	16,906	17,273	20,055	26,455	38,898
TH	3	Sep-25	241,309	95%	-	25	4,466	36,284	-	1	146	4,648	4,463	7,008	10,658	14,404
SG	2	Nov-25	37,567	88%	-	-	2,359	3,946	-	-	4	413	78	119	195	531
PH	2	Dec-25	89,864	92%	-	-	3,035	11,551	-	-	25	2,100	1,457	2,060	2,735	5,018
TW	2	Jan-26	42,195	48%	-	-	139	4,958	-	-	3	536	705	1,202	1,200	1,636
Total	22	-	1,949,175	87%	4,405	28,904	91,802	359,624	6,096	10,847	22,052	120,284	127,209	154,210	201,354	286,019
Direct selling as % of export	-	-	-	-	-	-	-	-	5%	7%	11%	42%	-	-	-	-
YoY growth	-	-	-	-	-	-	1984%	1144%	-	-	262%	1009%	-	-	58%	85%

Highlights

- **Direct target pool: 1.9M sellers**, representing **87% local market ADO**
- **Sep EOM**: Launched **10 direct selling lanes**; **29k active sellers, 11k ADO**
- **Dec-25:** On track to launch **18 direct selling lanes**, growing **91k active CB sellers** from local markets, contributing **22k ADO** (11% of total export ADO SIP+Direct)
- **Dec-26**: target to grow direct selling business to **359k active sellers**, **120k ADO** (42% of total export ADO SIP+Direct)

[Follow up from weekly email] Program ownership: Reg SIP team is the program owner, with local team's support on seller acquisition, incubation and ops support

	"Local Export Team"	"Local Import team"	"Regional export program owner"
Team setup	Export market local CB team	Import market local CB team	Regional SIP team
Capacity	1-4 Export PICs (FTE+BPO) per market	No dedicated PIC required	2-3 PMO PICs
Roles & responsibilities	• **Drive seller acquisition** via local RMs (for managed sellers) and mass pitching (for unmanaged sellers) • **Drive seller investment** such as paid ads, campaign participation • **Provide seller support**, handle seller escalation from RMs and CS • Propose seller support program to destination market	• **Treat the direct sellers (from ID/VN/MY/SG/TH/TW) the same way as CB MP sellers from other sources (CN/KR/JP)** • Select direct sellers into local CB programs • Educate export team on local markets insights and assortment priorities	• **Drive regional launch preparation and commercial plan** • **Set regional target** and track performance, in charge of regional budget submission • **Design, drive regional initiatives** to accelerate the project growth • **Establish and operate inter-market infrastructure and process** (system, logistics, payment, CS, ops policy)
			Program Owner

Acquisition: Overall pitching rate +3pp MoM; active selling rate +1pp MoM; rest of year focus on 1) build success case building; 2) simplify 1:1 pitching workload to speed up; 3) ramp up mass pitching target 100%

26-Oct-2025	Target pitching pool		Progress		Conversion			
	# sellers	As % local ADO	Pitched	Opened Shop	% pitched / target pool	vs. M-1	% opened shop / pitched	vs. M-1
Total [A] + [B]	3,326,065	89%	2,116,342	49,546	64%	▲3%	2%	▲1%
... MYSG	282,552	89%	282,552	9,931	100%	▲7%	4%	▲0%
... MYPH	286,240	89%	9,770	451	3%	--	5%	
... MYTH	286,240	89%	9,770	297	3%	--	3%	
... VNMY	289,916	95%	208,951	10,160	72%	▲0%	5%	▲2%
... VNSG	289,916	95%	184,215	6,226	64%	--	3%	
... VNPH	289,916	95%	184,212	6,604	64%	--	4%	
... IDMY	480,004	84%	420,758	10,849	88%	▲2%	3%	▲1%
... IDSG	480,004	84%	406,439	2,485	85%	--	1%	
... IDPH	480,004	84%	409,566	2,500	85%	--	1%	
... THPH	161,273	95%	109	43	0%	--	39%	
[A] RM 1:1 pitching	85,186	49%	25,007	6,809	29%	▲1%	27%	▲2%
... MYSG	8,130	42%	8,130	3,556	100%	0	44%	▲3%
... MYPH	11,818	42%	3,797	398	32%	--	10%	--
... MYTH	11,818	42%	3,797	268	32%	--	7%	--
... VNMY	11,764	52%	1,348	826	11%	▲0%	61%	▲23%
... VNSG	11,764	52%	1,348	514	11%	--	38%	--
... VNPH	11,764	52%	1,348	567	11%	--	42%	--
... IDMY	5,595	47%	3,320	401	59%	▲13%	12%	▲4%
... IDSG	5,595	47%	905	115	16%	--	13%	--
... IDPH	5,595	47%	905	121	16%	--	13%	--
... THPH	1,343	53%	109	43	8%	--	39%	--
[B] Mass pitching	3,240,879	40%	2,091,335	38,721	65%	▲3%	2%	▲0%
... MYSG	274,422	47%	274,422	2,365	100%	▲7%	1%	▲0%
... MYPH	274,422	47%	5,973	53	2%	--	-	--
... MYTH	274,422	47%	5,973	29	2%	--	-	--
... VNMY	278,152	43%	207,603	9,334	75%	▲0%	4%	▲3%
... VNSG	278,152	43%	182,867	5,712	66%	--	3%	--
... VNPH	278,152	43%	182,864	6,037	66%	--	3%	--
... IDMY	474,409	37%	417,438	10,448	88%	▲1%	3%	▲1%
... IDSG	474,409	37%	405,534	2,370	85%	--	1%	--
... IDPH	474,409	37%	408,661	2,379	86%	--	1%	--
... THPH	159,930	42%	-	-	-	--	-	--

Highlights

1. **Overall pitching rate 64% (+3pp MoM); active selling rate 2% (+1pp MoM)**

2. **1:1 Pitching via local RM**: 29% target seller pitched (+1% MoM), 27% pitched seller start selling (+2% MoM); as local RM capacity is limited in year-end peak seasons, rest of year we will focus on
   - **Build success cases with Seed program**; use them to support RM/mass pitching and local marketing events (deep-dive on next page)
   - **Streamline and simplify local RM workload**; via 1) automate weekly reminder system to each RM to feedback on sell acquisition progress via individualized survey and bot; 2) dev system feature to allow SIP ops team to open the shop for accepted sellers [ETA end Nov]

3. **Mass Pitching**: 65% target pool pitched via seller center pop-up invitation (+3% MoM); 2% sellers opened shop; rest of year we will focus on
   - ID/VN export lanes: 100% pitching rate by end-Nov
   - MYPH/TH: ramp up to 30% by end-Nov
   - THPH: align ramp up plan with TH CB/local BD team

Acquisition - success case building: Rolled out seed program to top 5 Direct shops per lane in MY and SG, ADO +297%, ADG +146%; next-steps to incorporate the success cases into local pitching materials and marketing events

Seed Program			ADO			ADG			ABS		
Lane	Username	L1 Category	Before	After	Change	Before	After	Change	Before	After	Change
VNMY	thoitrangduonghoas.du	Women Clothes	1 24	232	885%	$150	$795	428%	$6.4	$3.4	-46%
IDMY	iwdrlc.my	Men Clothes	52	120	131%	$635	$1,304	105%	$12.2	$10.8	-11%
VNMY	halley.my	Men Clothes	16	65	316%	$235	$583	148%	$15.1	$9.0	-40%
VNMY	lehaminhthu.my	Women Shoes	9	41	364%	$49	$133	168%	$5.6	$3.2	-42%

2 ***Assortment:***

Key Highlights

- **Top shops' ADO +297%** after setting up voucher push for 10.10, ABS decreased by 50%
  - 1 1 top VN shop saw **9x** ADO growth since inception of seed program
  - Next steps: (1) Local SMT to negotiate with sellers for crucial 11.11 deals; (2) Coordinate with local BI on budget tracking; (3) Review and replace other shops with little to no uplift by EOM
- 2 **Assortment**: Top shops concentrated in Fashion cluster with prices comparable to MY platform (~9.5 USD)

[Follow up from weekly email] Seller investment - ads deep-dive: MoM increase on ads spending and paids ads ROAS, higher ads takerate vs benchmark; rest of year focus on improving seller adoption by simplify and incentivize ads top up

		Performance			Benchmark			
Lane	Metrics	Sep	Oct MTD	vs. Sep	Direct sellers' local shop	vs. Dire seller's local shop	Destination CB coverage	vs. Destination CB Coverage
MYSG	Seller Setup%	10%	4 8%	▼2%	54%	▼45%	4%	▲5%
	Total ads spending (daily)	$6,947	$13,923	1 ▲100%	--	--	--	--
	... Paid ads	$6,875	$6,961	▲1%	--	--	--	--
	... Free ads	$72	$165	▲131%	--	--	--	--
	Take Rate%	18.1%	16.2%	▼2%	10.6%	2 ▲6%	14.9%	▲1%
	ROAS	5.5	6.2	3 ▲66%	9.4	▼34%	6.7	▼8%
IDMY	Seller Setup%	4%	4 3%	▼1%	67%	▼65%	4%	▼1%
	Total ads spending (daily)	$308	$613	1 ▲99%	--	--	--	--
	... Paid ads	$246	$306	▲25%	--	--	--	--
	... Free ads	$62	$94	▲50%	--	--	--	--
	Take Rate%	23.3%	17.8%	▼5%	11.4%	2 ▲6%	12.1%	▲6%
	ROAS	4.3	5.6	3 ▲131%	8.8	▼36%	8.3	▼32%
VNMY	Seller Setup%	3%	4 2%	▼1%	60%	▼58%	4%	▼2%
	Total ads spending (daily)	$273	$610	1 ▲124%	--	--	--	--
	... Paid ads	$233	$305	▲31%	--	--	--	--
	... Free ads	$40	$57	▲43%	--	--	--	--
	Take Rate%	17.3%	12.6%	▼5%	9.4%	2 ▲3%	12.1%	▲0%
	ROAS	5.8	8.0	3 ▲218%	10.6	▼25%	8.3	▼4%

Highlights (top 3 lanes)

Positive signals

1. Total ads spending (both free ads credits and paid ads) increases MoM
2. Ads take-rate higher than their local shops and destination market CB average, indicating sellers' willingness to invest in overseas shops
3. ROAS improves MoM, indicating better ads management + higher CR as the SKUs mature

[Gap to close] % sellers set up ads:

4. 2-8% Direct sellers set up ads, comparable to CB average of 4%, but much lower than their local shop 50-70%

- Root-cause: ID/VN sellers are limited to international credit cards or offline top-up method due to system constraint
- Next-steps:
  - Easier paid ads top-up method to increase seller adoption: feature development of direct balance to allow seller to use shop balance to top-up ads, ETA Dec
  - Explore investment scheme to incentivize sellers on paid ads spending: work with import CB team to provide extra incentives (e.g., rebates, vouchers, free ads credits) after seller's top-up exceed a certain threshold for certina sellers, ETA Dec

[Follow up question from weekly email] Current RR Scheme for SIP / Direct: most lanes (except MYSG) do not have international returns of as now, mainly due to high RTS cost resulting in small RTS vol that could not justify channel

Segment	Lane	Who bears RR cost?	How is RR cost handled?	International return available?
SIP	All lanes	SIP	Mark up in listing price	No, local disposal
Direct selling	VN export, ID export	Seller + Shopee	Mark up in commission fee (if actual cost higher, Shopee bears loss, if actual cost lower, Shopee keeps profit)	No, local disposal
	MYSG	Seller	Mark up in listing price	Yes, seller can choose to RTS
	All other lanes	Seller	Mark up in listing price	No, local disposal

Highlights

- **MYSG Direct**
  - International return is available
  - 3PL vendor NJV is chosen at launch, because 1) NJV has existing SG>MY channel to be used; 2) RTS vol was low to justify SPX-RTS channel; subsequently MY SPX has explored MY-SG CB logistics services, but dedicated to park the discussion mainly because HQ legal does not allow SPX to be the importer/exporter of record for custom clearance, to mitigate legal risks in case of illegal goods shipped
  - $20 USD ($27 SGD) RTS threshold was set at launch, to be consistent with CNCB; as of now, cost is absorbed by SG SLS
- **Other lanes**
  - **No RTS channels, mainly due to high RTS cost results in small potential RTS vol that could not justify channel setup [deep-dive next page]**

RTS consideration: Biz POV RTS is doable if sellers are willing to bear the cost; however cost and system constraint could be potential blockers

Export market	Major lane	Est Logs Cost	Est Tax [1]	Est Duty [2]	Overall RTS Cost	Avg COGS saved from RTS	RTS ADO potential (RR/FD orders with COGS>RTS cost)	Business Availability	Potential Constraint	
									Cost Concern	System Constraint
ID	IDMY	$2.50	$1.66	$1.98	1 **$6.13**	**$3.95**	206	Y	Y	
MY	MYSG	$3.50	$1.24	-	**$4.74**	**$6.20**	2 19	Y		Y
VN	VNMY	$2.50	$0.38	$0.70	**$3.58**	**$4.40**	95	Y	Y	Y
TH	THMY	$2.50	$1.17	-	**$3.67**	**$8.39**	31	Y		Y
PH	PHMY	$2.50	-	-	**$2.50**	**$7.50**	25	Y		Y
TW	TWMY	$3.50	-	-	**$3.50**	**$16.07**	3	Y		Y
SG	SGMY	$1.50	$3.91	-	**$5.41**	**$21.70**	1	Y		Y

[1] Using ABS to apply to the tax rate% except VN is charged 10k VND/order
[2] Using ABS to apply to general duty for Low Value Goods. High Value Goods will be applied to duty

Key Highlights

RTS is available from business POV with 2 potential constraints:

1. High shipping cost concern: ex: ID export lane return cost is high due to high duty and tax charge, which cause the benefit to RTS is low despite the big potential
2. System development constraint: low RTS volume are not able to justify for system request, offline arrangement will be tedious without system support (place order, generate export doc, status tracking, etc)

- Next steps:
  a. Explore sellers sentiment on high RTS fee for key Export markets
  b. Explore insurance solution with Monee to provide seller coverage of RR parcels (overview on next slide)
  c. Explore resell option

[Backup] Long-term RR Solution: design RR insurance package with Monee Insurance team, similarly to CN/KR scheme

Category	Sub Category	KR SLS+	CN ORS
Scope	Service Model	**Platform Service** - **Compulsory enrollment** for all sellers	**Whitelist & Seller Opt in** - Shopee select preferred sellers and whitelist - Whitelisted sellers can choose to Opt in/ purchase or not
	Coverage	Fail Delivery (FD) & Return Refund (RR)	
	Rollout Status	**FD & RR: MY, PH, TH, VN, SG**	**FD:** MY, PH, TH, VN, SG **RR:** MY, PH
Policy & Premium	Premium Charge Method	Commission Fee (markup embedded)	Service Fee (seperate fee type for FD & RR)
	Premium Rate	Fixed across All Destination Markets Seller Input Price * 1.35% (Exclusive VAT)	Differentiated Rate Table based on Sellers' Risk Profile (Monthly FD, RR Rate, Seller Order Volume, etc) Seller Input Price * (0.09% ~ 49%)
Claim	Trigger Point for Fail Delivery	3PL FD Logistic Update (Eligible Fcodes)	Local Warehouse FD parcel inbound
	Trigger Point for Return Refund	RR Team Status Update (Return Approved) with eligible return reason code	
	Claim Amount	50% COGS Claim cap $200	70% COGS Claim Cap MY: $208 PH: $97 TH: $117 VN: $55 SG: $200
Program Performance	Seller Enrollment	100% of KRCB SLS Sellers	8% of CNCB Sellers
	Annual Gross Written Premium (GWP)	$4M (projection)	$8.3M (FD: $6M, RR: $2.3M (projection))
	Annual Profit (GWP-Claims)	$0.65M (projection, 17% GWP)	$3.7M (FD: $3M, RR: 0.7M (projection), 46% GWP)

[Backup] Direct selling - Next Step focus: Oct-Nov focus on increasing active selling ratio with new process/feature and improving SKU efficiency via multiple marketing pushes

Focus area	Initiatives	Action plan
Grow seller / SKU	**1. Ramp up mass seller acquisition**	1a. Complete whitelist target sellers for top-5 lanes to GSC (MYSG/VNMY/IDMY) by end Oct 1b. Conduct weekly mass acquisition via system pop-up (start from 15 Sep for H2 of each month Oct-Dec) 1c. Participate in local marketing events to promote the program (MY/SG/TH/PH/VN/ID)
	2. Support accepted sellers to start selling	2a. Simply RM's process/workload to reduce waiting time after seller's response, ETA end Nov 2b. Product feature to allow Ops to open shops for accepted sellers, ETA end Nov
	3. Improve SKU migration efficiency	3a. Assess current migration gaps, improve SKU migration via ops/system measures (on-going) 3b. Continue weekly cadence to revive deleted SKUs from SIP-returned shop (on-going) 3c. Product feature to sync local shop listing limit to direct shop, ETA end Oct
Improve SKU effi	**4. Incubate top shops to build success cases**	4a. Continue on SG/MY leads program and to monitor closely on seller's investment and utilization (on-going) 4b. Roll-out leads program in PH/TH markets to build more success cases, ETA end Nov 4c. Establish and simplify Mall onboarding process on self-serve basis
	5. Push for price competitiveness	5a. Assess current promotion sync adoption% and decide if mass backend sync is needed (BI data building) 5b. Continue to push top seller lower price in exchange of destination market PRM support (on-going) 5c. Review price formula markup% with local team for potential price reduction, by end Oct
	6. Push for marketing investment, campaign participation	6a. Roll-out leads program in PH/TH markets to build more success cases, ETA end Nov 6b. Simplify and automate notification process to inform seller on available marketing resources 6c. Set-up seller mission in MY market to allow seller to guide seller through marketing tool, ETA end Nov

2.5 Local FBS x SIP regional scale-up assessment

Local FBS X SIP [MYSG pilot]: ADO 99, MoM +80%; growth limited by 1) low SKU migration rate; 2) moderate SKU efficiency

	Metrics	Aug	Sep	Oct MTD	MoM
Topline	ADO	57	55	99	+80%
	ADG	569	588	1 1139	+94%
	ABS	10.0	10.7	11.5	+7%
SKU migration	Live Shop #	100	143	200	+40%
	Live SKU #	579	825	2. Deep dive 1,017	+23%
	… % of SKU migrated from MY local FBS	-	-	21.6%	-
SKU effi	Local FBS x SIP	9.83%	6.64%	3. Deep dive 9.70%	+3.07pp
	Local SIP MYSG	0.96%	0.79%	0.76%	-0.03pp
	… vs Local SIP MYSG			12.76x	-
	MY CB FBS>SG	41.61%	40.18%	44.63%	+4.45pp
	… vs MY CB FBS>SG			22%	-

Highlights

1. MYSG Local FBS X SIP Oct MTD ADO 99, 80.2% MoM growth. Limited growth mainly due to limited SKU count and moderate SKU efficiency
2. SKU count: 1,017 SKUs, 21.6% of MY local FBS SKUs [deep-dive on next page]
3. SKU effi: 9.70%, significantly higher than MYSG SIP MP (12.76x), but lower than CB FBS>SG model (22%), due to
   - Not qualified for the CB FBS seller program in SG (platform support same as normal CB MP SKU)
   - Lower price competitiveness vs top SG SKUs (from SG SCS and FBS)
   - Sold count not built up yet, thus lack of buyer trust

SKU count deep-dive: 22% migrated now; max migration cap is 43% due to 1) official store already exist in SG; 2) prohibited SKUs; 3) missing mandatory attributes; gapping migration potential to; target to improve to 32% by Nov

MY local FBS>SG SKU migration funnel	#SKUs	As-is %	Potential %	Improvement assumptions
[A] MY Local FBS SKUs	4,707	100%	100%	
[B] Migrated to SG SKUs	**1,017**	**22%**	**32%**	
[C] Migration gap [C=A-B]	3,690	78%	68%	
…[C1] Official store already present in SG	1,681	36%	36%	
…[C2] Prohibited / unshippable SKUs (e.g., liquids, etc.)	577	19%	19%	
…[C3] Poor shop ops (high RR, etc.)	417	9%	4%	50% shops improved shop ops to meet the onboarding criteria
…[C4] Missing mandatory attributes (e.g., SG safety mark)	70	2%	2%	
…[C5] MYWH OOS	102	2%	1%	50% MYWH OOS stock re-stocked
…[C6] Others - to be further assessed (e.g., system, data)	362	8%	4%	50% SKUs recovered by fixing system and data issues

Highlights

- [A] MTD 4.7k MY local FBS SKUs
- [B] 22% (1.0k) successfully migrated and live in SG
- [C] 78% migration gap due to
  - Not actionable (57%): [C1] official stores already exist in SG (36%); [C2] prohibited/unshippable SKUs (19%); [C4] missing mandatory attributes (2%)
  - Actionable (21%): [C3] poor shop ops; [C5] MYWH OOS; [C6] system/data issue
- Target to improve migration rate to 32% by fixing shop ops/OOS/system/data issues in Nov

SKU effi deep-dive: Sample checks showed that SKU effi lower than expected can be due to 1) price in MY already higher than comparable SG SKU; 2) high markup 3) low buyer trust against SG Mall

	Scenario 1		Scenario 2		Scenario 3	
Metrics	Price $	Markup%	Price $	Markup%	Price $	Markup%
Product scenario	**MY price already higher than cheapest price in SG**		**MY price lower than SG but with markup is higher than SG competitor's price**		**SG price is lower but currently not performing**	
Product Image						
MY price	$8.70	-	$2.61	-	$31.60	-
(+) Markup (logistics, platform fee, marketing markup)	$3.71	43%	$3.89	149%	$7.31	23%
(+) Tax	$1.12	13%	$0.54	21%	$3.49	11%
SG Price	**$13.53**	**56%**	**$7.04**	**170%**	**$42.40**	**34%**
SG Competitor price	**$8.60**		**$5.78**		**$47.12**	
Rationales	N.A		- Settlement price should be (MY price - minus MP PC2 passback) - Marketing markup can be removed if SKU doesn't perform		Non-mall seller vs Mall seller. Lack of sold count to incentivize buyer purchase	
Next Steps	N.A		**Remove unnecessary markup (ETA EOM Oct)**		**Loss leader to build sold count**	

Regional assessment: 27k ADO potential in FY26 benchmarking MYSG as-is performance; propose to monitor 1) local FBS SKU growth; 2) MYSG SKU migration/SKU effi improvement; reassess potential in Q1-26

Export market	Import market	P SKU pool		P SKU eligible pool		A SKU # pool		ADO potential	
		FY25	FY26 (E)	FY25	FY26 (E)	FY25	FY26 (E)	Based on FY25 SKU	Based on FY26 SKU
MY	SG	4,707	13,959	3,027	8,975	1,513	4,488	149	444
	PH							97	289
VN	SG	29,971	149,855	22,958	114,790	11,479	57,395	1,231	6,155
	MY							2,275	11,374
	PH							1,522	7,609
PH	SG	10,311	25,289	6,496	15,932	3,248	7,966	187	459
	MY							155	381
Total		**44,989**	**189,103**	**32,481**	**139,698**	**16,240**	**69,849**	**5,616**	**26,710**

Highlights

- **MY, VN, PH are the focus markets that platform will sponsor to growth local FBS segments in FY25/26**, according to Reg BD team; other markets are not prioritized because of 1) small market size: TH, SG; 2) not real local FBS model:ID (changed to SPX cross-docking); TW (JIT model)
- Benchmarking MYSG as-is performance, **ADO potential based on FY25 SKU pool is 5.6K, mainly from VN export lanes**; It can further grow to **26.7K in FY26**, provided export markets will expand local FBS SKU/ADO per their current plan submitted to Reg BD
- Other contingencies of business scale-up
  - Seller acquisition: VN/PH agrees to use opt-out model
  - System upgrade: system efforts needed to support fulfillment from multiple warehouses from VN/PH; logistics channel setup
- **Proposal**
  - Monitor 1) MY/VN/PH local FBS SKU growth trajectory; 2) MYSG SKU migration and SKU effi improvement
  - Reassess potential and launch plan by end Q1-26

4. Summary of other key initiatives

SIP key initiatives update (1/3)

Growth lever	Initiative	Update	PIC
More SKUs	**SKU migration improvement**	• **Direct selling:** WIP to build SKU migration funnel for all lanes to analyse existing migration gaps and take actions to improve migration efficiency; ad hoc resync done based on initial assessment of breakdown, next step to identify more actions for other gaps	Emily
Cheaper price	**SIP price bidding**	• **Bidding progress:** MTD winning model# 66K, MoM +83%, target run rate 148%. Winning model ADO 11.6K, MoM +101%, target run rate 144%. • **Scalability improvement:** ○ Submitted biz requirement to automate bidding process, PRD WIP. Target to automate process in Dec. ○ Request to optimize SIP eligibility standard to enable more models to bid. Working on biz impact analysis to PM.	Linda
Cheaper price	**Price elasticity**	• **Context:** raise prices for inelastic SKUs (unique to platform) and reduce prices for elastic SKUs; trial indicated overall ADO improvement; however require SKU level automation tool to scale up across lanes. • **Product status:** Automation process flow aligned with BPM, API integration are in progress.	Ailin
Better marketing ROI	**Trendy SKU push**	• **Context**: To match SIP SKUs to platform top trending keywords; automated keyword prioritization across categories and download board for SKU curation; detect existing top and rising demand early to ride on traffic trends promptly • **Performance**: Q3 116k trendy SKUs incubated in 8 lanes, +4.2K ADO incremental uplift • **Status:** Oct fully ramp-up 90K additional SKUs for trendy keywords across MY, TH and PH markets	Ailin
Better marketing ROI	**Ads ML model for new SKUs curation**	• **Purpose**: to select new SKUs that are more likely to be successfully incubated with ads • **Findings**: ML model identified 4 attributes of survival - item traffic, shop ADO, category, and export market SKU ADO • **Short-term**: Using weighted attribute scoring for SKU ranking and selected 35k SKUs for trial with 3.6K ADO generated, observed **survival rate improved from 7% to 9% with IDSG +6%, MYSG +5%** • **Long-term**: WIP with BI & product to build destination market-specific ML models	Ailin

SIP key initiatives update (2/3)

Growth lever	Initiative	Update	PIC
Drive content	**Livestream**	• **SG OA Livestream Plan:** collaborate with SG OA LS for 18 SIP fashion shops to test LS ROI, target 2 streams per week, 1.5 hrs per stream**;** WIP: To finalize OA schedule, shortlist top SKUs and arrange samples delivery [OA LS ETA early Nov] • **Sending SG KOL to VN:** collaborate with SG marketing to support 6 streamers visit VN during Oct 24-30 on 14 selected VNSIP brands. Total 59 live stream sessions planned with 15% AMS commission for KOLs & special livestream discounts	Xiaoxuan Tanya
Drive content	**Video**	• **PDP video:** Publishing of 1k videos/ day commenced from 1 Oct. To monitor commercial metrics before increasing publishing bandwidth to 3k/ day. Next steps: exploring migration opportunities with TH video team • **AIGC**: increased supply from 4k/ week to 18k/ week to also include PH for AIGC videos; next step: to work with BI on a SKU selection tool for more efficient prioritisation of SKU curation for AIGC • **External AIGC Video:** To run a 200-video pilot test in PH to validate video performance and ROI [ETA early Nov]. WIP: aligning with SGCB team on offline budget transfer.	Xiaoxuan Shermaine
Drive content	**AMS**	• **MY/SG:** 100% coverage for performing shops in SG and 100% of coverage for fashion performing shops in MY • **Other markets:** Regional Finance confirmed there will be tax implication when SIP performs AMS overseas. Will simulate the tax impact and get approval from Regional finance [ETA EoM] • Status: 1) CNSIP done ramp-up AMS in SG/MY/TH for 100% ADO coverage 2) ID SIP export to trial 50% ADO coverage for AMS in PH to review incremental uplift	Zhang Yu
Lower OPEX	**Fraud management**	• **Cancellation Fraud**: **no new cases this week**; YTD 62 sellers, 157 orders, $26k GMV; wallets frozen, $19k recoverable with claw-back • **COD failure Fraud**: **no new cases this week**; YTD 343 sellers, 83k orders, $2.2M loss (29% clawed back) • **RR Fraud: no new cases this week**; YTD 20 RR fraud sellers,42 fraud buyers, $23K loss, $1.8K (8%) recoverable with seller wallet claw-back.	Lesley
Lower OPEX	**SIP x Resell**	• **Purpose**: reduce loss from failed delivery orders (vs liquidation) • **Status**: in progress of obtaining HQ legal/tax/finance clearance and PH WH capacity allocation; next step to submit new business initiative request to FPC	Emily
Lower BWT / shipping cost	**IDSIP sea shipping**	• **Progress:** Aligned with IDSPX that previous assumption was too aggressive, seashipping potential is limited. WIP assessing 1) air economy channel and 2) reassessment on IDSIP FM order allocation plan to better leverage high performing 3PLs to improve FM LT; ETA end-Oct	Zhi Ann

SIP key initiatives update (3/3)

Growth lever	Initiative	Update	PIC
Lower BWT / shipping cost	**VN/PH-MY Collection Point launch**	• **Progress:** Working on system configuration and live testing; launch ETA 20 Oct.	Zhi Ann
Stronger GR/PR	**MY export event**	• **MATRADE Government event** that initially planning on 1 Nov held in Johor will postponed till further notice due to other P1 Gov initiative.	Xiaoxuan
Strong GR/PR	**VN-SG event**	• **MoU Signing Ceremony** in SG on 25th Nov: official signing of the Memorandum of Understanding between iDEA (Ministry of Industry and Trade, Vietnam) and Shopee Vietnam, witnessed by the Ambassador of Vietnam and representatives from ESG • **Event details:** 1) Livestream session featuring VN fashion brand showcasing cross-border eCommerce collaboration 2) Workshops on CB operations and growth, SIP & Direct selling businesses for the delegations and VN sellers	Ailin
New market	**Dino**	• Dino launched on 16 Oct. As of Oct 21, 67 orders placed, 1.6k active users	Qiang Wei
New market	**AME**	• **VN-KH/TH-LA/TH-MM [launch ETA Jan-26]:** In progress of launch prep with VN/TH PMO; TH-MM lane launch most likely delayed to Q2-26 as MM border is closed, more clarity on timeline in end-Nov. • **CNSIP-KH/LA/MM [launch ETA Jan-26]:** in progress of working with CN Monee team to design payment flow and CN SLS team to establish direct shipping from CN to KH/LA/MM; target CNSIP launch alongside AME lanes. • **SIP feature improvement on RR/seller chat/promo sync:** reg PM in progress of drafting feature RFR.	Cuiwei
Cross-team collaboration	**CNCB site expansion**	• CNCB is closing site expansion 1v1 pitch, for sellers did not expand to new sites yet, CNCB proposed to mass toggle-on CNSIP shops, notify sellers through Wecom and opt out shops if seller request • **Progress:** 279 GGP with 16K ADO in scope. Under pitching through CNSC together with SIP BAU target list. DDL 10.26	Linda
Cross-team collaboration	**CNLS site expansion**	• **Completed top-down target setting** for CNLS site expansion with Direct selling model, benchmarking local sellers • Next step for CNLS PMO to coordinate local CNLS team review and target alignment • **PHMY lane (1st lane) onboarding delayed to Jan/Feb-26**, pending system improvement on tax collection; aligned new timeline with regional CNLS team	Jill

End